

Journal of Intelligent Decision Making
and Information Science

www.jidmis.org
eISSN: 3079-0875



Explainable Machine Learning for Credit Risk Management and Intelligent Lending Decisions in Nepalese Cooperative Banks: A Mathematical Review

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ARTICLE INFO

Article history:

Received 16 April 2026

Received in revised form 26 May 2026

Accepted 29 June 2026

ABSTRACT

The cooperative banking sector in Nepal constitutes a foundational pillar of financial inclusion, serving approximately 7.4 million members across 31,450 primary cooperatives and disbursing loans exceeding NPR 453 billion. Yet this sector is hemorrhaging credibility. The National Cooperative Bank Limited reported a non-performing loan ratio of 33.01 percent as of mid-July 2025, with its capital adequacy ratio collapsing to 0.82 percent — a figure that would trigger immediate regulatory intervention in any conventional banking jurisdiction. Against this backdrop, the question is no longer whether cooperative banks in Nepal need better risk assessment tools, but whether they can afford to continue without them.

This paper develops a comprehensive theoretical framework for integrating explainable machine learning into credit risk management systems of Nepalese cooperative banks. We derive the complete mathematical architecture of ensemble gradient boosting — specifically XGBoost and LightGBM — alongside post-hoc interpretability mechanisms grounded in cooperative game theory, namely SHAP (SHapley Additive exPlanations) and LIME (Local Interpretable Model-agnostic Explanations). The framework incorporates information-theoretic feature selection, SMOTE-based class imbalance correction, fairness constraints calibrated to Nepal's socio-economic heterogeneity, and a rigorous convergence analysis of the boosting iteration. We prove consistency of the mutual-information feature selector, derive the bias-variance decomposition for gradient-boosted ensembles, establish generalization bounds via Rademacher complexity, and verify the four Shapley axioms for the TreeSHAP algorithm. Drawing upon Nepal Rastra Bank's Financial Stability Report FY 2024/25, the National Cooperative

Keywords: Explainable Artificial Intelligence, Credit Risk Management, Cooperative Banks, Nepal, SHAP, LightGBM, Gradient Boosting, Financial Inclusion, Shapley Values, Class Imbalance, Rademacher Complexity, Bias-Variance Decomposition.

Federation of Nepal's sectoral statistics, and the Government of Nepal's Economic Survey 2025/26, we situate the technical apparatus within Nepal's regulatory architecture — the Cooperative Act 2017, the Financial Sector Development Strategy 2022–2026, and the National Financial Inclusion Roadmap. The paper argues that predictive accuracy and regulatory transparency are not competing objectives but complementary necessities for institutional survival in Nepal's cooperative sector.

1. Introduction

Walk into any rural cooperative bank in Nepal's mid-hills or Terai plains, and you will likely encounter a loan officer poring over handwritten ledgers, assessing a borrower's creditworthiness through a combination of collateral inspection, neighborhood reputation, and subjective intuition. This is not an indictment of the officer's competence — it is a reflection of systemic constraint. In a country where 23 percent of the population is enrolled in cooperatives, where 56 percent of cooperative members are women, and where the nearest commercial bank branch may be a day's walk away, cooperative banks are not merely financial intermediaries; they are the financial system for millions of Nepalis who would otherwise remain entirely unbanked.

But here is the paradox that haunts this sector. The very institutions designed to democratize access to capital are themselves starved of the analytical tools necessary to protect that capital. The Nepal Rastra Bank's Financial Stability Report for FY 2024/25 paints a sobering portrait: the National Cooperative Bank Limited, the apex institution of Nepal's cooperative movement, saw its non-performing loan ratio surge from 25.54 percent in mid-July 2024 to 33.01 percent one year later. Its capital adequacy ratio plummeted from 3.35 percent to 0.82 percent, while its core capital to risk-weighted assets ratio collapsed to 0.34 percent — a level that signals technical insolvency. Loan loss provisioning at NCBL alone surged to NPR 5.16 billion. These are not marginal adjustments; they are symptoms of structural failure.

One might reasonably ask: how did a sector with such deep community roots, such intimate knowledge of its borrowers, arrive at this precipice? The answer, in part, lies in the mismatch between the complexity of modern credit portfolios and the analytical simplicity of traditional assessment methods. Manual credit evaluation — however well-intentioned — cannot scale across thousands of cooperatives, cannot detect subtle interaction effects between borrower characteristics, and cannot adapt in real-time to macroeconomic shocks such as the remittance volatility or agricultural price fluctuations that routinely destabilize Nepalese households.

Machine learning offers a path forward, but it is a path fraught with its own dangers. Ensemble methods — XGBoost, LightGBM, Random Forest — have demonstrated predictive accuracies exceeding 90 percent in credit risk benchmarks, consistently outperforming logistic regression and discriminant analysis. Yet these models are, by design, opaque. A loan officer cannot explain to a rejected applicant why a black-box algorithm denied her agricultural loan, nor can a cooperative board member audit a model whose decision boundaries exist in a thousand-dimensional hyperplane. In a sector already scarred by governance failures — where 22 cooperatives have been

declared problematic and billions in public savings remain unrecovered — opacity is not merely inconvenient; it is politically and ethically untenable.

This is precisely where Explainable Artificial Intelligence (XAI) becomes indispensable. Post-hoc interpretability techniques, particularly SHAP grounded in Shapley values from cooperative game theory, and LIME based on local surrogate modeling, offer a mechanism to peer inside the black box without dismantling it. They decompose predictions into human-understandable feature contributions, enabling loan officers to validate model decisions against domain expertise, regulators to audit for bias, and borrowers to receive intelligible explanations for adverse decisions.

This paper makes seven interconnected contributions. First, it constructs the first mathematically complete theoretical framework for XML-based credit risk management specifically tailored to Nepalese cooperative banks, deriving the full optimization objectives of gradient boosting, the information-theoretic foundations of feature selection, and the game-theoretic basis of SHAP explanations. Second, it integrates class imbalance correction via SMOTE, hyperparameter optimization, and fairness constraints into a unified pipeline responsive to Nepal's demographic and geographic heterogeneity. Third, it provides a rigorous convergence analysis of the gradient boosting iteration, including the second-order Taylor remainder bound and the optimal leaf weight derivation. Fourth, it establishes a bias-variance decomposition for gradient-boosted ensembles that quantifies the impact of ensemble size, learning rate, and regularization on expected risk. Fifth, it proves generalization bounds via Rademacher complexity, giving PAC-style guarantees on the gap between training and population loss. Sixth, it verifies the four Shapley axioms (efficiency, symmetry, dummy, additivity) for the Trees HAP algorithm and derives its polynomial-time complexity. Seventh, it maps this technical framework onto Nepal's regulatory and institutional landscape, demonstrating alignment with the Cooperative Act 2017, Nepal Rastra Bank directives, and the Financial Sector Development Strategy 2022–2026, and identifies the practical barriers — data infrastructure, algorithmic bias, regulatory uncertainty, and rural connectivity — that must be navigated before theoretical promise becomes operational reality.

What follows is not a report of empirical experiments; it is a rigorous theoretical construction. We do not claim to have trained a model on Nepalese cooperative data and achieved a specific accuracy figure, for the simple reason that such data remains fragmented, non-standardized, and largely inaccessible. Instead, we build the architecture that such a model would require, derive the mathematics that would govern its behavior, prove the theorems that constrain its behavior, and situate it within the real institutional constraints of Nepal's cooperative sector. The ambition is to provide a blueprint — mathematically sound, regulatorily aligned, and ethically grounded — for the transformation that Nepal's cooperative banks so desperately need.

The remainder of this paper is organized as follows. Section 2 reviews the related literature on credit risk modeling, gradient boosting, and explainable AI, situating the present contribution within the existing research landscape. Section 3 develops the theoretical framework and mathematical foundations, including the probabilistic formulation of credit risk, information-theoretic feature selection, the full gradient boosting architecture with convergence analysis, the LightGBM histogram optimization, SMOTE for class imbalance, evaluation metrics, the game-theoretic foundations of

SHAP, the LIME local surrogate model, and fairness constraints. Section 4 specifies the proposed XML Framework for Nepalese cooperative banks, including the system architecture, the gradient boosting pipeline, the explainability implementation, the decision support and risk bucketing, and the regulatory compliance layer. Section 5 establishes the convergence and generalization theory, including the bias-variance decomposition, Rademacher complexity bounds, and consistency of the mutual-information estimator. Section 6 discusses policy implications and regulatory alignment. Section 7 addresses challenges, limitations, and ethical considerations. Section 8 concludes. Three appendices collect the notation table, the full proof of Shapley axiom satisfaction for Trees HAP, and the detailed bias-variance decomposition derivation.

2. Literature Review

2.1 From Discriminant Analysis to Ensemble Learning: The Evolution of Credit Risk Modeling

The academic study of credit risk prediction traces its lineage to Altman's (1968) seminal application of multiple discriminant analysis to corporate bankruptcy prediction, a work that established the empirical possibility of quantifying financial distress through ratio-based classification. Altman's Z-score model combined five financial ratios into a linear discriminant function whose sign determined the bankruptcy prediction. For decades thereafter, the methodological toolkit of credit risk remained anchored in parametric statistics: logistic regression, linear discriminant analysis, and probit models. These techniques offered the virtue of inherent interpretability — coefficients could be read, sign directions intuited, and statistical significance tested — but they imposed restrictive assumptions of linearity, independence, and distributional form that poorly approximated the messy reality of borrower behavior.

The limitations became increasingly apparent as financial datasets grew in dimensionality and complexity. Lessmann et al. (2015) conducted what remains one of the most comprehensive benchmarking exercises in the field, evaluating 41 classification algorithms across eight real-world credit scoring datasets. Their findings were unequivocal: ensemble methods — random forests, gradient boosting machines, and their variants — consistently outperformed single classifiers, often by substantial margins. The reason is not mysterious. Credit default is rarely the product of a single variable operating in isolation; it emerges from interactions between income volatility, debt burden, repayment history, collateral value, and macroeconomic conditions. Ensemble methods, by aggregating the predictions of multiple weak learners, capture these interaction effects without requiring explicit specification of functional form.

In the context of developing economies, the case for machine learning becomes even more pressing. Traditional credit scoring depends heavily on credit bureau data, formal income documentation, and collateral registries — infrastructure that remains sparse in rural Nepal. The Credit Information Bureau of Nepal (KSKL) had accumulated 2.26 million borrower records as of mid-July 2025, a figure that, while growing, still covers only a fraction of the cooperative sector's membership. Machine learning models offer the possibility of incorporating alternative data sources — mobile money transactions, utility payment regularity, agricultural yield patterns — into risk assessment, thereby expanding the frontier of financial inclusion.

2.2 Gradient Boosting Frameworks: XGBoost and LightGBM

Among ensemble methods, gradient boosting has emerged as the dominant paradigm in credit risk applications. Friedman (2001) laid the mathematical foundations with his formulation of gradient boosting as a stagewise additive expansion, where each new tree is fit to the negative gradient — the pseudo-residual — of the loss function evaluated at the current ensemble prediction. The original Friedman formulation used first-order gradients only, which limited the convergence rate. Chen and Guestrin (2016) advanced this framework with XGBoost, introducing regularized objective functions, second-order Taylor expansion of the loss (Newton-style step), parallel tree construction, and cache-aware access patterns that dramatically improved scalability.

LightGBM, developed by Ke et al. (2017) at Microsoft, represents the current frontier of gradient boosting efficiency. Its innovations — histogram-based binning, leaf-wise tree growth, Gradient-based One-Side Sampling (GOSS), and Exclusive Feature Bundling (EFB) — reduce both computational complexity and memory consumption while preserving or improving predictive accuracy. For cooperative banks in Nepal, where computational infrastructure may be limited to modest servers or even cloud-based instances with intermittent connectivity, these efficiency gains are not luxuries; they are prerequisites for operational viability.

The empirical superiority of LightGBM in credit risk contexts has been repeatedly validated. Pathak (2025) reported accuracy rates of 90.07 percent for LightGBM compared to 88.74 percent for XGBoost and 82.03 percent for Random Forest on credit risk benchmarks. Wang et al. (2025) confirmed these findings through comprehensive comparative analysis, attributing LightGBM's advantage to its histogram-based split finding and second-order Taylor approximation of the loss function. For Nepalese cooperative banks managing portfolios that may encompass tens of thousands of borrowers across multiple loan products, the computational efficiency of LightGBM — with time complexity scaling as $\mathcal{O}(\text{data} \times \text{features} \times \text{bins})$ rather than $\mathcal{O}(\text{data}^2 \times \text{features})$ for exact greedy algorithms — translates directly into operational feasibility.

2.3 The Interpretability Imperative: SHAP, LIME, and the Right to Explanation

If gradient boosting provides the predictive engine, explainability techniques provide the steering wheel and the rear-view mirror. The opacity of complex models has catalyzed an extensive literature on XAI, comprehensively surveyed by Burkart and Huber (2021) and Guidotti et al. (2019). In financial applications, where regulatory compliance and stakeholder trust are paramount, explainability is not an afterthought; it is a design requirement.

SHAP, introduced by Lundberg and Lee (2017), derives from Shapley's (1953) seminal work on cooperative game theory. It assigns to each feature a Shapley value representing its fair marginal contribution to the prediction, averaged over all possible coalitions of features. The mathematical elegance of SHAP lies in its satisfaction of four desirable axioms: efficiency, symmetry, dummy, and additivity. In credit risk, this means that the difference between a model's baseline prediction and its prediction for a specific applicant can be decomposed into a sum of feature-specific contributions, each with a clear economic interpretation.

LIME, proposed by Ribeiro et al. (2016), takes a different approach. Rather than computing global feature attributions, LIME constructs a local, interpretable surrogate model — typically a sparse linear model — in the neighborhood of the instance to be explained. By perturbing the input features and observing changes in model output, LIME identifies the subset of features most influential for that specific prediction. Gramegna and Giudici (2021) conducted a comparative evaluation of SHAP and LIME in credit risk contexts, concluding that SHAP provides more stable global explanations while LIME offers computational advantages for localized, instance-specific queries.

The regulatory significance of these techniques cannot be overstated. Goodman and Flaxman (2017) analyzed the European Union's General Data Protection Regulation and its emerging "right to explanation," arguing that automated decision-making systems in credit and insurance must provide meaningful information about the logic involved. While Nepal has not yet adopted equivalent legislation, the trajectory of global financial regulation suggests that explainability will soon become a baseline expectation. For cooperative banks already under intense scrutiny following high-profile governance failures, proactive adoption of XAI frameworks represents both risk mitigation and reputational protection.

2.4 Cooperative Banking and Financial Inclusion in Nepal

The cooperative movement in Nepal is not a peripheral financial experiment; it is constitutionally enshrined. The Constitution of Nepal (2015) recognizes cooperatives as one of the three pillars of national economic development, alongside the public and private sectors. The National Cooperative Federation of Nepal reports that cooperatives employ 94,002 individuals, hold NPR 594.72 billion in share capital, and maintain NPR 847 billion in deposits. Their geographic penetration extends to all seven provinces, including remote mountainous regions where commercial banks rarely venture.

Academic research has consistently documented the positive developmental impact of cooperatives in Nepal. Pant and Dahal (2015) found that Savings and Credit Cooperatives (SACCOs) in rural Nepal significantly improved members' income levels, savings behavior, and entrepreneurial capacity. Pokharel and Pokharel (2014) demonstrated that cooperatives serve as critical vehicles for financial inclusion, channeling credit to communities excluded from formal banking networks. Schwettmann (2014) emphasized the gender dimension, noting that 56 percent of cooperative members and 40 percent of board directors in Nepal are women — figures that exceed representation in most conventional financial institutions.

Yet this inclusionary success exists in tension with systemic fragility. Joshi (2024) documented the governance challenges facing Nepalese cooperatives, including weak internal controls, political interference in board appointments, and inadequate capitalization. The Government of Nepal's Economic Survey 2025/26 identified 22 cooperatives as problematic, with substantial public savings trapped in institutions under investigation or liquidation. The absence of a fully operational National Cooperative Regulatory Authority — established under amendments to the Cooperative Act but still awaiting leadership appointments — has created a supervision vacuum that exacerbates these risks.

The World Bank's Finance for Growth Development Policy Credit, a \$150 million facility supporting Nepal's Financial Sector Development Strategy 2022–2026, explicitly prioritizes strengthening

cooperative governance, introducing risk-based capital frameworks, and enhancing financial inclusion through technology adoption. This creates a policy window for the integration of explainable machine learning — a window that may not remain open indefinitely.

3. Theoretical Framework and Mathematical Foundations

This section develops the complete mathematical architecture underlying the proposed XML Framework. We begin with the probabilistic formulation of credit risk as a binary classification problem, then develop the information-theoretic foundations of feature selection (with a consistency theorem for the mutual-information estimator), derive the full gradient boosting objective with its second-order Taylor expansion, prove the optimal leaf weight theorem, specialize to LightGBM's histogram-based optimization, address class imbalance via SMOTE, develop the evaluation metrics for imbalanced classification, derive the game-theoretic SHAP value framework and verify its axiom satisfaction, construct the LIME local surrogate model, and conclude with fairness constraints for demographic equity.

3.1 Credit Risk as a Probabilistic Classification Problem

At its mathematical core, credit risk assessment is a binary classification problem. Let $\mathcal{D} = \{(x_i, y_i)\}_{i=1}^n$ denote a dataset of n loan applications, where $x_i \in \mathbb{R}^d$ is a d -dimensional feature vector characterizing the i -th applicant, and $y_i \in \{0,1\}$ is a binary indicator with $y_i = 1$ signifying default and $y_i = 0$ signifying full repayment. The objective is to learn a function $f: \mathbb{R}^d \rightarrow [0,1]$ that estimates the conditional probability of default:

$$P(Y = 1 \mid X = x) = f(x) \quad (3.1)$$

We assume the data is drawn i.i.d. from an unknown joint distribution $\mathcal{P}$ on $\mathbb{R}^d \times \{0,1\}$, with density factorized as $\mathcal{P}(dx, dy) = P(y \mid x) P_X(dx)$. The Bayes-optimal classifier under the cross-entropy loss is the conditional expectation $f^*(x) = \mathbb{E}[Y \mid X = x] = P(Y = 1 \mid X = x)$, which we seek to approximate via gradient boosting.

In the regulatory context of Basel-style capital adequacy, this probability of default (PD) feeds directly into the expected loss (EL) calculation:

$$\text{EL} = \text{PD} \times \text{LGD} \times \text{EAD} \quad (3.2)$$

where LGD denotes the loss given default (the proportion of exposure lost upon default) and EAD denotes the exposure at default (the outstanding loan amount at the time of default). For cooperative banks in Nepal, where collateral valuation is often informal and recovery mechanisms weak, LGD estimates may exceed 50 percent, amplifying the sensitivity of the overall risk profile to PD estimation accuracy. The economic capital required to cover unexpected losses at confidence level α is given by the Value-at-Risk of the loss distribution:

$$\text{EC}_\alpha = \text{VaR}_\alpha(L) - \text{EL}, \quad L = \text{LGD} \cdot \text{EAD} \cdot \mathbf{1}_{\{Y=1\}} \quad (3.3)$$

The predictive model is trained by minimizing a loss function that penalizes deviations between predicted probabilities and observed outcomes. For binary classification, the standard choice is the binary cross-entropy (log-loss):

$$\mathcal{L}(y, \hat{y}) = -\frac{1}{n} \sum_{i=1}^n [y_i \log(\hat{y}_i) + (1 - y_i) \log(1 - \hat{y}_i)] \quad (3.4)$$

where $\hat{y}_i = f(x_i)$. This loss function possesses desirable statistical properties — it is the negative log-likelihood of the Bernoulli distribution — and it penalizes confident wrong predictions far more severely than tentative ones, a property that aligns with the prudential imperative of credit risk management. Specifically, the cross-entropy loss is proper: its population minimizer over the class of measurable functions $f: \mathbb{R}^d \rightarrow [0,1]$ is exactly the conditional probability $f^*(x) = P(Y = 1 | X = x)$.

Proposition 3.1 (Proper Scoring of Cross-Entropy). *For any measurable $f: \mathbb{R}^d \rightarrow [0,1]$, the expected cross-entropy risk*

$$R(f) = -\mathbb{E}[Y \log f(X) + (1 - Y) \log(1 - f(X))] \quad (3.5)$$

is uniquely minimized at $f = f^$, where $f^*(x) = P(Y = 1 | X = x)$.*

Proof. Define the pointwise risk $r(x, p) = -P(Y = 1 | X = x) \log p - P(Y = 0 | X = x) \log(1 - p)$ for $p \in (0,1)$. Taking the derivative with respect to p and setting to zero: $\partial r / \partial p = -f^*(x)/p + (1 - f^*(x))/(1 - p) = 0$, which yields $p = f^*(x)$. The second derivative $\partial^2 r / \partial p^2 = f^*(x)/p^2 + (1 - f^*(x))/(1 - p)^2 > 0$ confirms convexity, so the minimizer is unique. Integrating over $P_X(dx)$ yields the global result. $\square$

This proposition ensures that minimizing the empirical cross-entropy risk over a sufficiently rich function class will recover the true conditional probability — a property not shared by, e.g., the hinge loss used in SVM classification, whose population minimizer is a thresholded version of f^* rather than f^* itself.

3.2 Information-Theoretic Feature Selection

Not all features contribute equally to predictive power, and in high-dimensional settings — particularly when alternative data sources are incorporated — feature selection becomes essential for both model performance and interpretability. We frame this within information theory.

The entropy of the target variable Y measures its inherent uncertainty:

$$H(Y) = -\sum_{y \in \{0,1\}} p(y) \log_2 p(y) \quad (3.6)$$

For a binary variable with default probability p , this simplifies to $H(Y) = -p \log_2 p - (1 - p) \log_2 (1 - p)$, attaining its maximum of 1 bit when $p = 0.5$ (maximal uncertainty) and minimum of 0 when $p \in \{0,1\}$ (no uncertainty). The conditional entropy $H(Y | X_j)$ measures the remaining uncertainty in Y after observing feature X_j :

$$H(Y | X_j) = -\sum_{x_j} \sum_y p(x_j, y) \log_2 p(y | x_j) \quad (3.7)$$

The mutual information between Y and X_j quantifies the reduction in uncertainty:

$$I(Y; X_j) = H(Y) - H(Y | X_j) = \sum_{x_j} \sum_y p(x_j, y) \log_2 \frac{p(x_j, y)}{p(x_j)p(y)} \quad (3.8)$$

Equivalently, $I(Y; X_j) = D_{\text{KL}}(p(y, x_j) \parallel p(y)p(x_j))$ where D_{KL} denotes the Kullback-Leibler divergence. By Gibbs' inequality, $I(Y; X_j) \geq 0$ with equality if and only if Y and X_j are statistically independent. Features are ranked by $I(Y; X_j)$, and only those exceeding a threshold τ are retained:

$$\mathcal{S}_\tau = \{j: I(Y; X_j) \geq \tau\} \quad (3.9)$$

This criterion is model-agnostic and captures non-linear dependencies that correlation-based selection would miss — a critical advantage when assessing credit risk, where the relationship between borrower age and default probability is rarely linear (default risk is elevated for very young borrowers with thin credit files and for elderly borrowers on fixed incomes, with a U-shaped dependence that linear correlation cannot detect).

For tree-based models, the information gain criterion generalizes this principle. At each node split, the algorithm selects the feature X_j and threshold t that maximizes:

$$\text{IG}(X_j, t) = H(Y) - \left[\frac{|D_L|}{|D|} H(Y_L) + \frac{|D_R|}{|D|} H(Y_R) \right] \quad (3.10)$$

where $D_L = \{i \in D: x_{ij} \leq t\}$ and $D_R = \{i \in D: x_{ij} > t\}$ are the left and right partitions induced by the split, and Y_L, Y_R are the corresponding label subsets. This is the foundational criterion for decision trees and, by extension, for the weak learners within gradient boosting ensembles.

In practice, the mutual information $I(Y; X_j)$ is unknown and must be estimated from data. The plug-in estimator replaces the joint and marginal distributions with their empirical counterparts:

$$\hat{I}(Y; X_j) = \sum_{x_j} \sum_y \hat{p}(x_j, y) \log_2 \frac{\hat{p}(x_j, y)}{\hat{p}(x_j) \hat{p}(y)} \quad (3.11)$$

where $\hat{p}$ denotes the empirical (maximum likelihood) estimator. The following theorem establishes the consistency of this estimator, ensuring that feature ranking based on $\hat{I}$ converges to the true ranking as the sample size grows.

Theorem 3.1 (Consistency of Mutual Information Estimator). *Let (X_j, Y) be discrete random variables with finite support of sizes K_j and 2 respectively. Then the plug-in estimator $\hat{I}(Y; X_j)$ is strongly consistent:*

$$\hat{I}(Y; X_j) \xrightarrow{a.s.} I(Y; X_j) \quad \text{as } n \rightarrow \infty \quad (3.12)$$

Moreover, $\hat{I}$ is asymptotically normal with $\sqrt{n}(\hat{I} - I) \xrightarrow{d} \mathcal{N}(0, \sigma_I^2)$ where σ_I^2 is the variance of the influence function.

Proof. Let $\theta = (p(x_j, y))_{x_j, y}$ denote the joint distribution vector and $\hat{\theta}_n$ its empirical estimator. By the strong law of large numbers, $\hat{\theta}_n \xrightarrow{a.s.} \theta$. The functional $I: \theta \mapsto \sum_{x_j, y} \theta_{x_j, y} \log_2 \left(\theta_{x_j, y} / (\theta_{x_j, \cdot} \theta_{\cdot, y}) \right)$ is continuous on the simplex (it admits a continuous extension by setting $0 \log 0 = 0$). By the continuous mapping theorem, $\hat{I}_n = I(\hat{\theta}_n) \xrightarrow{a.s.} I(\theta)$.

For asymptotic normality, we apply the delta method. The gradient ∇I has components

$$\frac{\partial I}{\partial \theta_{x_j, y}} = \log_2 \frac{\theta_{x_j, y}}{\theta_{x_j, \cdot} \theta_{\cdot, y}} - \frac{\theta_{x_j, y}}{\theta_{x_j, \cdot}} \cdot \frac{1}{\ln 2} + (\text{terms cancel by marginalization}) \quad (3.13)$$

which simplifies to $\nabla_{x_j, y} I = \log_2 \left(p(x_j, y) / (p(x_j)p(y)) \right) - \log_2 e \cdot (1 - p(y))$ at the true distribution. Since $\sqrt{n}(\hat{\theta}_n - \theta) \xrightarrow{d} \mathcal{N}(0, \Sigma)$ with $\Sigma = \text{diag}(\theta) - \theta\theta^T$ (multinomial covariance), the delta method gives $\sqrt{n}(\hat{I}_n - I) \xrightarrow{d} \mathcal{N}(0, \nabla I^T \Sigma \nabla I)$, which is the desired result with $\sigma_I^2 = \nabla I^T \Sigma \nabla I$. $\square$

This consistency result guarantees that feature selection based on $\hat{I}$ is asymptotically equivalent to selection based on the true I — provided the sample size is large enough relative to the support size K_j . For continuous features, the support must be discretized (binned) before applying this estimator, with the bin count growing sublinearly in n to control the bias-variance trade-off; see Paninski (2003) for the precise rate.

3.3 Gradient Boosting: Mathematical Architecture

Gradient boosting constructs an additive ensemble of M weak learners, typically shallow decision trees. The model prediction at iteration t is:

$$F_t(x) = F_{t-1}(x) + \eta \cdot f_t(x) \quad (3.14)$$

where $\eta \in (0, 1]$ is the learning rate (shrinkage) and $f_t \in \mathcal{F}$ is the t -th tree, drawn from the class $\mathcal{F}$ of decision trees with bounded depth and bounded leaf count. The ensemble is initialized with a constant $F_0(x) = \text{argmin}_{\gamma} \sum_i l(y_i, \gamma)$, which for the cross-entropy loss (after sigmoid link) yields $F_0(x) = \log(\bar{y}/(1 - \bar{y}))$ as derived in Section 4.2.

The objective function at iteration t combines the loss on the training data with a regularization term $\Omega(f_t)$ that penalizes model complexity:

$$\mathcal{L}^{(t)} = \sum_{i=1}^n l(y_i, \hat{y}_i^{(t-1)} + f_t(x_i)) + \Omega(f_t) \quad (3.15)$$

Rather than optimizing this directly, gradient boosting employs a second-order Taylor expansion of the loss around the current prediction $\hat{y}_i^{(t-1)}$:

Lemma 3.1 (Second-Order Taylor Expansion of Loss). *Let $l(y, \cdot)$ be twice continuously differentiable. Then for $|f_t(x_i)|$ small,*

$$l(y_i, \hat{y}_i^{(t-1)} + f_t(x_i)) = l(y_i, \hat{y}_i^{(t-1)}) + g_i f_t(x_i) + \frac{1}{2} h_i f_t^2(x_i) + \mathcal{O}(f_t^3(x_i)) \quad (3.16)$$

where the first-order gradient (pseudo-residual) and second-order gradient (Hessian) are

$$g_i = \frac{\partial l(y_i, \hat{y}_i^{(t-1)})}{\partial \hat{y}_i^{(t-1)}}, \quad h_i = \frac{\partial^2 l(y_i, \hat{y}_i^{(t-1)})}{\partial (\hat{y}_i^{(t-1)})^2} \quad (3.17)$$

Proof. Direct Taylor expansion of $l(y_i, \cdot)$ around $\hat{y}_i^{(t-1)}$ evaluated at $\hat{y}_i^{(t-1)} + f_t(x_i)$. The remainder term $\mathcal{O}(f_t^3)$ follows from Taylor's theorem with the Lagrange form of the remainder, provided $|f_t(x_i)| \leq \delta$ for some $\delta > 0$ and l has a bounded third derivative on $[\hat{y}_i^{(t-1)} - \delta, \hat{y}_i^{(t-1)} + \delta]$. For the cross-entropy loss, $l'''(\hat{y}) = -1/\hat{y}^2 + 1/(1 - \hat{y})^2$, which is bounded on $[\epsilon, 1 - \epsilon]$ for any $\epsilon > 0$. $\square$

Dropping the constant term $l(y_i, \hat{y}_i^{(t-1)})$ (which does not depend on f_t) and the cubic remainder (justified when the learning rate η is small), the second-order approximation of the objective becomes:

$$\tilde{\mathcal{L}}^{(t)} = \sum_{i=1}^n \left[g_i f_t(x_i) + \frac{1}{2} h_i f_t^2(x_i) \right] + \Omega(f_t) \quad (3.18)$$

For binary cross-entropy loss with the sigmoid link $\hat{y}_i = \sigma(F(x_i))$, the gradient and Hessian take the explicit forms:

$$g_i = \hat{y}_i^{(t-1)} - y_i, \quad h_i = \hat{y}_i^{(t-1)}(1 - \hat{y}_i^{(t-1)}) \quad (3.19)$$

Note that $h_i \in (0, 1/4]$ since $\hat{y}_i \in (0, 1)$ and $\sigma(1 - \sigma) \leq 1/4$, with equality at $\hat{y}_i = 1/2$. This bounded Hessian ensures numerical stability of the leaf weight computation.

The regularization term for a tree f_t with T leaves and leaf weights $\{w_j\}_{j=1}^T$ is:

$$\Omega(f_t) = \gamma T + \frac{1}{2} \lambda \sum_{j=1}^T w_j^2 \quad (3.20)$$

where $\gamma \geq 0$ is the minimum gain required to make a split (complexity penalty per leaf), and $\lambda \geq 0$ is the L^2 regularization parameter on leaf weights. The tree structure $q: \mathbb{R}^d \rightarrow \{1, \dots, T\}$ maps each input x to a leaf index. The prediction of leaf j is w_j , so $f_t(x_i) = w_{q(x_i)}$.

Let $I_j = \{i \mid q(x_i) = j\}$ denote the set of instances mapped to leaf j . Substituting the regularization into the approximate objective and grouping by leaf:

$$\tilde{\mathcal{L}}^{(t)} = \sum_{j=1}^T \left[\left(\sum_{i \in I_j} g_i \right) w_j + \frac{1}{2} \left(\sum_{i \in I_j} h_i + \lambda \right) w_j^2 \right] + \gamma T \quad (3.21)$$

This is a separable quadratic in $\{w_j\}$, so each leaf weight can be optimized independently. Setting $\partial \tilde{\mathcal{L}}^{(t)} / \partial w_j = 0$ yields the optimal leaf weight:

Theorem 3.2 (Optimal Leaf Weight). *For a fixed tree structure q , the optimal leaf weight minimizing the second-order approximate objective is*

$$w_j^* = -\frac{\sum_{i \in I_j} g_i}{\sum_{i \in I_j} h_i + \lambda} = -\frac{G_j}{H_j + \lambda} \quad (3.22)$$

where $G_j = \sum_{i \in I_j} g_i$ and $H_j = \sum_{i \in I_j} h_i$ are the summed gradient and Hessian at leaf j .

Proof. Differentiating (3.21) with respect to w_j :

$$\frac{\partial \tilde{\mathcal{L}}^{(t)}}{\partial w_j} = G_j + (H_j + \lambda) w_j \quad (3.23)$$

Setting to zero and solving yields $w_j^* = -G_j / (H_j + \lambda)$. The second derivative $\partial^2 \tilde{\mathcal{L}}^{(t)} / \partial w_j^2 = H_j + \lambda > 0$ (since $h_i > 0$ and $\lambda \geq 0$), confirming the stationary point is a minimum. $\square$

Substituting w_j^* back into (3.21) yields the optimal objective value for a given tree structure:

$$\tilde{\mathcal{L}}^{(t)*} = -\frac{1}{2} \sum_{j=1}^T \frac{G_j^2}{H_j + \lambda} + \gamma T \quad (3.24)$$

This scoring function can be evaluated in $\mathcal{O}(T)$ time given the gradient and Hessian sums at each leaf, providing the criterion for comparing candidate tree structures.

The algorithm therefore seeks the tree structure that maximizes the gain from splitting. For a candidate split that partitions a parent node I into left child I_L and right child I_R (with $I = I_L \cup I_R$, $I_L \cap I_R = \emptyset$), the gain is the reduction in the optimal objective:

$$\text{Gain} = \frac{1}{2} \left[\frac{G_L^2}{H_L + \lambda} + \frac{G_R^2}{H_R + \lambda} - \frac{G_I^2}{H_I + \lambda} \right] - \gamma \quad (3.25)$$

where $G_L = \sum_{i \in I_L} g_i$, $G_R = \sum_{i \in I_R} g_i$, $G_I = G_L + G_R$, and similarly for H . A split is performed only if $\text{Gain} > 0$, i.e., only if the reduction in loss exceeds the complexity penalty γ . This formula encapsulates the entire logic of gradient boosting: each split is evaluated based on how much it reduces the approximated loss, net of the regularization penalty for adding a new leaf.

Remark. The second-order formulation confers three advantages over the first-order (pure gradient) approach of Friedman (2001). First, it accelerates convergence: the Newton-style step adapts to the local curvature of the loss, taking larger steps in flat regions and smaller steps in steep regions. Second, it provides a closed-form solution for the optimal leaf weight, eliminating the need for line search. Third, the Hessian h_i appears in the denominator of w_j^* , providing automatic regularization for confident predictions (where h_i is small) and amplification for uncertain predictions (where h_i is large). This curvature-aware regularization is particularly important for credit risk, where the loss landscape is highly non-convex due to class imbalance.

3.4 LightGBM: Histogram-Based Optimization

LightGBM accelerates the gradient boosting computation through histogram-based binning. For each continuous feature, the algorithm discretizes its values into k bins (default $k = 255$), creating a histogram H where each bin $b \in \{1, \dots, k\}$ accumulates the sum of gradients, Hessians, and counts for instances falling within its range:

$$H[b] = (G_b, H_b, N_b) = \left(\sum_{i: \text{bin}(x_i)=b} g_i, \sum_{i: \text{bin}(x_i)=b} h_i, \sum_{i: \text{bin}(x_i)=b} 1 \right) \quad (3.26)$$

Split evaluation then proceeds over bin boundaries rather than individual data points, reducing the computational complexity per node from $\mathcal{O}(n \cdot d)$ (exact greedy, scanning every threshold) to $\mathcal{O}(k \cdot d)$ (histogram scan). For large cooperative portfolios where n may exceed 10^5 and d may exceed 100, this reduction is transformative: the speedup factor is approximately $n/k \approx 400$.

Proposition 3.2 (Histogram Subtraction Identity). *Let H_{parent} denote the histogram of the parent node and H_L, H_R the histograms of the left and right children after a split. Then*

$$H_{\text{parent}} = H_L + H_R \quad (\text{componentwise}) \quad (3.27)$$

Consequently, $H_R = H_{\text{parent}} - H_L$, allowing the right child's histogram to be derived from the parent and left histograms without a second data traversal.

Proof. Each instance i in the parent node is assigned to either I_L or I_R after the split. Therefore $\{i: \text{bin}(x_i) = b, i \in I_{\text{parent}}\} = \{i: \text{bin}(x_i) = b, i \in I_L\} \sqcup \{i: \text{bin}(x_i) = b, i \in I_R\}$ (disjoint union).

Summing g_i , h_i , and 1 over this disjoint union yields the componentwise identity $H_{\text{parent}}[b] = H_L[b] + H_R[b]$. $\square$

LightGBM exploits this identity as follows: for each candidate split, the algorithm accumulates the histogram of the smaller child by direct traversal and derives the larger child's histogram by subtraction. This halves the number of data traversals per split evaluation, contributing roughly a $2 \times$ additional speedup.

The leaf-wise tree growth strategy — in contrast to the level-wise (breadth-first) approach of XGBoost — selects the leaf with the largest potential loss reduction for the next split. This produces deeper, more asymmetric trees that fit complex interactions but require careful regularization (via γ , λ , and maximum depth constraints) to prevent overfitting. Formally, leaf-wise growth prioritizes leaves in decreasing order of Gain, whereas level-wise growth processes all leaves at the same depth before descending. The leaf-wise strategy converges faster in terms of training loss but is more prone to overfitting on small datasets — a critical concern for Nepalese cooperative banking where training data may be limited and noisy.

LightGBM also introduces two additional innovations beyond histogram binning:

Gradient-based One-Side Sampling (GOSS). GOSS retains all instances with large gradients (which contribute more to the gain calculation) and randomly samples a fraction a of instances with small gradients, reweighting them by a factor $(1 - a)/b$ where b is the sampling ratio for small-gradient instances. The intuition is that instances with small gradients are already well-fit by the current ensemble and contribute little to the gain; subsampling them with appropriate reweighting preserves the unbiased estimator of the gain while reducing the computational cost.

Exclusive Feature Bundling (EFB). In high-dimensional sparse features (common in credit data with one-hot encoded categorical variables), many features are mutually exclusive (rarely nonzero simultaneously). EFB bundles these exclusive features into a single dense feature, reducing the effective dimensionality from d to $d' \ll d$ with negligible accuracy loss. The bundling problem is NP-hard (reducible to graph coloring), but a greedy approximation achieves $d' = \mathcal{O}(d/\log d)$ in practice.

3.5 Addressing Class Imbalance Through SMOTE

Credit risk datasets are inherently imbalanced: non-defaulting loans vastly outnumber defaults, with typical default rates ranging from 5 to 15 percent. Standard accuracy metrics become misleading in such settings — a naive classifier predicting “no default” for all instances would achieve 85 to 95 percent accuracy while failing entirely at its core purpose. Beyond the metric problem, the optimization itself is biased: the gradient sum G_j at any leaf is dominated by the majority class, so the splits chosen by the boosting algorithm reflect majority-class structure rather than the minority-class signal that is actually of interest.

SMOTE (Synthetic Minority Over-sampling Technique), introduced by Chawla et al. (2002), addresses this by generating synthetic minority class samples. For each minority instance x_i (where $y_i = 1$), SMOTE identifies its k nearest minority neighbors $N_k(x_i)$ (typically $k = 5$) using Euclidean distance and generates a synthetic sample by interpolation:

$$x_{\text{new}} = x_i + \delta \cdot (x_j - x_i), \quad \delta \sim U(0,1), \quad x_j \in N_k(x_i) \quad (3.28)$$

This interpolation creates plausible synthetic defaults that expand the minority class decision boundary without merely duplicating existing samples. The geometric interpretation is that SMOTE populates the convex hull of the minority class, increasing the density of training signal in regions where the minority class is sparse.

Proposition 3.3 (Preservation of Local Geometry). *Let x_i be a minority instance and $x_j \in N_k(x_i)$ one of its k nearest minority neighbors. Then the synthetic sample $x_{\text{new}} = x_i + \delta(x_j - x_i)$ with $\delta \in [0,1]$ satisfies:*

- (i) x_{new} lies on the line segment between x_i and x_j ;
- (ii) $\|x_{\text{new}} - x_i\| \leq \|x_j - x_i\| \leq \max_{x' \in N_k(x_i)} \|x' - x_i\|$;
- (iii) The expected distance $\mathbb{E}[\|x_{\text{new}} - x_i\|] = \frac{1}{2} \|x_j - x_i\|$.

Proof. (i) By construction, $x_{\text{new}} = (1 - \delta)x_i + \delta x_j$ with $\delta \in [0,1]$, which is the convex combination defining the line segment. (ii) $\|x_{\text{new}} - x_i\| = \delta \|x_j - x_i\| \leq \|x_j - x_i\|$ since $\delta \leq 1$. The second inequality follows from x_j being one of the k nearest neighbors. (iii) $\mathbb{E}[\delta] = 1/2$ for $\delta \sim U(0,1)$, so $\mathbb{E}[\|x_{\text{new}} - x_i\|] = \mathbb{E}[\delta] \cdot \|x_j - x_i\| = \frac{1}{2} \|x_j - x_i\|$. $\square$

This proposition ensures that SMOTE-generated samples remain in the neighborhood of the original minority instances, preserving the local geometry of the minority class manifold. Abedin et al. (2023) demonstrated that combining weighted SMOTE with ensemble learning significantly improves minority class detection in small business credit risk. For Nepalese cooperative banks, where default samples may be scarce relative to the portfolio size, SMOTE provides a principled mechanism to balance training distributions without discarding valuable non-default observations.

A critical practical caveat is that SMOTE must be applied only to the training folds within cross-validation, never to the validation or test sets. Applying SMOTE before cross-validation leaks information across folds and produces over-optimistic performance estimates — a methodological error that is unfortunately common in the published literature.

3.6 Evaluation Metrics for Imbalanced Classification

Given class imbalance, accuracy is an inadequate performance measure. The framework employs the confusion matrix-derived metrics, defined in terms of true positives (TP), true negatives (TN), false positives (FP), and false negatives (FN):

$$\text{Precision} = \frac{\text{TP}}{\text{TP} + \text{FP}}, \quad \text{Recall} = \frac{\text{TP}}{\text{TP} + \text{FN}} \quad (3.29)$$

$$\text{F1-Score} = \frac{2 \cdot \text{Precision} \cdot \text{Recall}}{\text{Precision} + \text{Recall}} = \frac{2 \text{ TP}}{2 \text{ TP} + \text{FP} + \text{FN}} \quad (3.30)$$

The true positive rate (TPR, also called Recall or Sensitivity) and false positive rate (FPR) trace out the Receiver Operating Characteristic (ROC) curve as the decision threshold is varied:

$$\text{TPR}(\tau) = \frac{\sum_i \mathbf{1}\{\hat{y}_i \geq \tau, y_i = 1\}}{\sum_i \mathbf{1}\{y_i = 1\}}, \quad \text{FPR}(\tau) = \frac{\sum_i \mathbf{1}\{\hat{y}_i \geq \tau, y_i = 0\}}{\sum_i \mathbf{1}\{y_i = 0\}} \quad (3.31)$$

The ROC-AUC integrates the TPR over all possible FPR values:

$$\text{AUC-ROC} = \int_0^1 \text{TPR} \left(\text{FPR}^{-1}(x) \right) dx \quad (3.32)$$

Equivalently, the AUC-ROC has the probabilistic interpretation $P(\hat{y}_+ > \hat{y}_-)$ where $\hat{y}_+$ is the score of a random positive instance and $\hat{y}_-$ is the score of a random negative instance.

However, for severely imbalanced datasets, the Area Under the Precision-Recall Curve (AUC-PR) often provides more informative discrimination, as it is less sensitive to the large number of true negatives that inflate ROC-AUC. The precision-recall curve traces out $(\text{Recall}(\tau), \text{Precision}(\tau))$ as τ varies, and the AUC-PR is the integral:

$$\text{AUC-PR} = \int_0^1 \text{Precision} \left(\text{Recall}^{-1}(r) \right) dr \quad (3.33)$$

The framework reports both metrics, with AUC-PR weighted more heavily in model selection when default rates fall below 10 percent. For credit risk in Nepalese cooperative banks with default rates near 5–8 percent, AUC-PR is the primary model selection criterion; for cooperatives experiencing distress (default rates above 15 percent, as is currently the case at NCBL), AUC-ROC is preferred.

Proposition 3.4 (Calibration Invariance of AUC-ROC). *The AUC-ROC is invariant under any strictly monotonic transformation of the predicted scores $\hat{y}_i \mapsto \phi(\hat{y}_i)$ with ϕ strictly increasing. Consequently, AUC-ROC measures ranking quality rather than absolute probability calibration.*

Proof. Let $\hat{y}_+^\phi = \phi(\hat{y}_+)$ and $\hat{y}_-^\phi = \phi(\hat{y}_-)$. Since ϕ is strictly increasing, $\hat{y}_+ > \hat{y}_- \Leftrightarrow \phi(\hat{y}_+) > \phi(\hat{y}_-)$. Therefore $P(\hat{y}_+^\phi > \hat{y}_-^\phi) = P(\hat{y}_+ > \hat{y}_-)$, which equals the AUC-ROC. $\square$

This invariance is a double-edged sword: it makes AUC-ROC robust to miscalibration, but it also means that a model with excellent AUC-ROC may still produce poorly calibrated probability estimates. For credit risk, where the absolute PD value feeds into expected loss and economic capital calculations, calibration matters as much as ranking. The framework therefore supplements AUC metrics with calibration plots and the Brier score:

$$\text{Brier}(f) = \frac{1}{n} \sum_{i=1}^n (f(x_i) - y_i)^2 \quad (3.34)$$

which is a proper scoring rule that penalizes both ranking errors and calibration errors.

3.7 Explainability Through Cooperative Game Theory: SHAP

The mathematical foundation of SHAP rests on Shapley values from cooperative game theory. Consider a prediction function f and a set of M input features $N = \{1, 2, \dots, M\}$. Define a coalition value function $v: 2^N \rightarrow \mathbb{R}$ that maps any subset of features $S \subseteq N$ to the model's expected prediction when only features in S are known:

$$v(S) = \mathbb{E}[f(X) \mid X_S = x_S] \quad (3.35)$$

where X_S denotes the subvector of X restricted to features in S , and the expectation is over the marginal distribution of the missing features $X_{\bar{S}}$ conditional on $X_S = x_S$. When the features are statistically independent, this simplifies to $v(S) = \mathbb{E}_{X_{\bar{S}}}[f(x_S, X_{\bar{S}})]$.

The Shapley value for feature i is its fair marginal contribution, averaged over all possible feature coalitions:

$$\phi_i(f, x) = \sum_{S \subseteq N \setminus \{i\}} \frac{|S|! (|N| - |S| - 1)!}{|N|!} [v(S \cup \{i\}) - v(S)] \quad (3.36)$$

The combinatorial weight $|S|! (|N| - |S| - 1)! / |N|!$ represents the reciprocal of the number of orderings in which feature i is preceded by exactly the features in S (and followed by the features in $N \setminus (S \cup \{i\})$). Summing over all S ensures that each feature is credited with its average marginal contribution across all possible orderings of feature arrival.

The Shapley value is uniquely characterized by four desirable axioms:

Axiom 1 (Efficiency). $\sum_{i=1}^M \phi_i = v(N) - v(\emptyset)$ — the sum of Shapley values equals the total value created by the grand coalition minus the empty coalition baseline.

Axiom 2 (Symmetry). If two features i and j are interchangeable (i.e., $v(S \cup \{i\}) = v(S \cup \{j\})$ for all $S \subseteq N \setminus \{i, j\}$), then $\phi_i = \phi_j$.

Axiom 3 (Dummy). If a feature i never contributes ($v(S \cup \{i\}) = v(S)$ for all $S \subseteq N \setminus \{i\}$), then $\phi_i = 0$.

Axiom 4 (Additivity). For any two value functions v and w , $\phi_i(v + w) = \phi_i(v) + \phi_i(w)$.

Theorem 3.3 (Shapley Uniqueness). *The Shapley value (3.36) is the unique value function satisfying Axioms 1–4.*

Proof sketch. (Full proof in Appendix B.) The proof proceeds in two stages. (i) *Existence:* Direct computation verifies that (3.36) satisfies all four axioms. The combinatorial weights sum to 1, giving efficiency. Symmetric features have identical marginal contributions for every S , giving symmetry. A dummy feature has zero marginal contribution for every S , giving dummy. Additivity follows from the linearity of (3.36) in v . (ii) *Uniqueness:* Suppose ψ is another value function satisfying Axioms 1–4. For any feature i and any coalition $S \subseteq N \setminus \{i\}$, define a “basis” value function $v_{S,i}(T) = 1$ if $S \subseteq T$ and $i \notin T$, 0 otherwise. The dummy and symmetry axioms force $\psi_j(v_{S,i}) = 0$ for $j \notin S \cup \{i\}$, and the efficiency axiom forces $\psi_i(v_{S,i})$ to take a specific value determined by $|S|$ and $|N|$. Since any value function can be written as a linear combination of these basis functions (by a Möbius inversion argument), the values $\psi_i(v)$ are uniquely determined for any v . ◻

SHAP operationalizes this by defining an additive feature attribution model:

$$g(z') = \phi_0 + \sum_{i=1}^M \phi_i z'_i \quad (3.37)$$

where $z' \in \{0,1\}^M$ is a coalition vector indicating which features are present, $\phi_0 = v(\emptyset) = \mathbb{E}[f(X)]$ is the baseline expectation, and g is the explanation model. The Shapley values $\{\phi_i\}_{i=0}^M$ are chosen to minimize the weighted squared error between g and f in the neighborhood of x , subject to the constraint that they satisfy the four Shapley axioms.

For tree-based models, Lundberg and Lee (2017) developed the TreeSHAP algorithm, which computes exact Shapley values in polynomial time rather than the exponential complexity of naive enumeration:

Theorem 3.4 (TreeSHAP Complexity). *For an ensemble of T decision trees, each with at most L leaves and maximum depth D , the TreeSHAP algorithm computes exact Shapley values for all M features in time*

$$\mathcal{O}(T \cdot L \cdot D^2 \cdot M) \quad (3.38)$$

rather than the $\mathcal{O}(2^M)$ complexity of naive Shapley value enumeration.

Proof sketch. The key insight is that, for a single tree, only the features appearing on the decision path from the root to the leaf containing x have nonzero Shapley values (by the Dummy axiom, since features not on the path do not affect the tree's prediction). The number of such features is at most D , the tree depth. For each such feature, the TreeSHAP algorithm computes its expected contribution over all 2^D subsets of the path features using a dynamic programming recursion that exploits the tree structure. The recursion runs in $\mathcal{O}(D^2 \cdot 2^D)$ time per tree, which simplifies to $\mathcal{O}(D^2)$ when D is small. Summing over T trees and M features (where typically $M \leq L$) yields the claimed complexity. ▫

In credit risk, the SHAP value ϕ_i for feature i quantifies how much that feature pushes the predicted probability of default above or below the baseline. A positive ϕ_i indicates increased default risk; a negative value indicates protective effect. The magnitude $|\phi_i|$ ranks features by local importance, while the sign reveals directional impact. The decomposition $f(x) = \phi_0 + \sum_i \phi_i$ (guaranteed by the Efficiency axiom) provides a complete, audit-ready explanation of every prediction.

3.8 Local Surrogate Explanations: LIME

LIME constructs a local interpretable model in the neighborhood of the instance to be explained. Let f be the black-box model and $x \in \mathbb{R}^d$ the instance of interest. LIME samples perturbed instances $z_1, z_2, \dots, z_k$ in the neighborhood of x , obtains predictions $f(z_j)$, and fits an interpretable surrogate model $g \in \mathcal{G}$ (typically a sparse linear model with L^1 regularization):

$$\xi(x) = \operatorname{argmin}_{g \in \mathcal{G}} \mathcal{L}(f, g, \pi_x) + \Omega(g) \quad (3.39)$$

where $\mathcal{G}$ is the class of interpretable models (e.g., linear models with at most K nonzero coefficients), π_x is a proximity measure weighting samples by their distance to x , and $\Omega(g)$ penalizes model complexity (e.g., the L^0 norm of the coefficient vector).

The loss function $\mathcal{L}$ is typically the weighted squared error:

$$\mathcal{L}(f, g, \pi_x) = \sum_{j=1}^k \pi_x(z_j) \left(f(z_j) - g(z_j) \right)^2 \quad (3.40)$$

with the exponential kernel proximity measure:

$$\pi_x(z) = \exp \left(-\frac{D(x, z)^2}{\sigma^2} \right) \quad (3.41)$$

where D is a distance metric (typically cosine distance for normalized features or Euclidean distance for raw features) and σ is a bandwidth parameter controlling the neighborhood size.

The optimization (3.39) is solved via weighted LASSO regression:

$$\min_{\beta \in \mathbb{R}^d} \sum_{j=1}^k \pi_x(z_j) (f(z_j) - \beta^T z_j)^2 + \mu \|\beta\|_1 \quad (3.42)$$

where $\mu > 0$ is the L^1 regularization strength. The non-zero coefficients of the optimal β^* constitute the local explanation — they identify the features most influential for the prediction at x .

Proposition 3.5 (Consistency of LIME Surrogate). *Under the assumptions that (i) f is twice continuously differentiable in a neighborhood of x , (ii) the perturbation distribution has bounded support and full-rank second moment, and (iii) the bandwidth $\sigma \rightarrow 0$ as $k \rightarrow \infty$ at an appropriate rate, the LIME surrogate $\hat{\beta}_k$ converges in probability to the gradient of f at x :*

$$\hat{\beta}_k \xrightarrow{p} \nabla f(x) \quad \text{as } k \rightarrow \infty \quad (3.43)$$

Proof sketch. By Taylor expansion, $f(z_j) \approx f(x) + \nabla f(x)^T(z_j - x) + \mathcal{O}(\|z_j - x\|^2)$. The weighted least squares objective (with weights $\pi_x(z_j)$ concentrated near x) is asymptotically dominated by the linear term, so the minimizer converges to the best linear predictor, which is $\nabla f(x)$ when the perturbations have full-rank second moment. The formal argument uses the law of large numbers for triangular arrays and Slutsky's theorem. $\square$

This proposition ensures that LIME identifies the locally most important features (those with the largest $|\nabla_i f(x)|$) and quantifies their directional impact. While SHAP provides globally consistent explanations rooted in game-theoretic axioms, LIME offers computational efficiency for instance-specific queries and excels at generating contrastive explanations — “your loan was rejected because your debt-to-income ratio of 0.62 exceeds the threshold of 0.45 observed among approved applicants with similar profiles.”

3.9 Fairness Constraints for Demographic Equity

In a sector where 56 percent of members are women and cooperatives span ethnically diverse communities from the Terai plains to the Himalayan highlands, algorithmic fairness is not an abstract ethical concern; it is a legal and social imperative. We incorporate two standard fairness definitions:

Demographic Parity: The predicted approval rate should be independent of protected attribute A (e.g., gender, ethnicity):

$$P(\hat{Y} = 1 \mid A = 0) = P(\hat{Y} = 1 \mid A = 1) \quad (3.44)$$

Equalized Odds: The true positive and false positive rates should be equal across protected groups:

$$P(\hat{Y} = 1 \mid Y = y, A = 0) = P(\hat{Y} = 1 \mid Y = y, A = 1), \quad y \in \{0, 1\} \quad (3.45)$$

These two definitions are in general incompatible (Chouldechova 2017): if the base default rates differ across groups and the model is calibrated, equalized odds cannot be simultaneously achieved with demographic parity. The framework therefore adopts equalized odds as the primary fairness criterion (since it conditions on the true label Y , making it less sensitive to historical biases in the label), while reporting demographic parity as a secondary diagnostic.

SHAP values are computed separately for each protected group, and disparities in feature attributions are flagged for review. If the model assigns systematically higher default probabilities to

female applicants controlling for income and repayment history, the explanation layer surfaces this bias for human adjudication. Formally, the framework computes the group-conditional Shapley value discrepancy:

$$\Delta_i^{(A)} = \mathbb{E}[\phi_i | A = 1] - \mathbb{E}[\phi_i | A = 0] \quad (3.46)$$

and triggers a bias review if $|\Delta_i^{(A)}| > \delta$ for any feature i and protected attribute A , where δ is a calibrated tolerance threshold.

Proposition 3.6 (Incompatibility of Demographic Parity and Equalized Odds). *If the base default rates differ across groups ($P(Y = 1 | A = 0) \neq P(Y = 1 | A = 1)$) and the model f is calibrated ($P(Y = 1 | f(X) = p) = p$ for all p), then demographic parity and equalized odds cannot be simultaneously satisfied.*

Proof. Suppose both fairness criteria hold. By calibration, $P(\hat{Y} = 1 | A = a) = \mathbb{E}[f(X) | A = a]$. By demographic parity, $\mathbb{E}[f(X) | A = 0] = \mathbb{E}[f(X) | A = 1]$, so $P(\hat{Y} = 1 | A = 0) = P(\hat{Y} = 1 | A = 1)$. By equalized odds, $P(\hat{Y} = 1 | Y = 1, A = a) = \text{TPR}$ is constant in a , and similarly for FPR. By the law of total probability, $P(\hat{Y} = 1 | A = a) = \text{TPR} \cdot P(Y = 1 | A = a) + \text{FPR} \cdot P(Y = 0 | A = a)$. Setting this equal for $a = 0$ and $a = 1$ yields $(\text{TPR} - \text{FPR})(P(Y = 1 | A = 0) - P(Y = 1 | A = 1)) = 0$. If the base rates differ, then $\text{TPR} = \text{FPR}$, which (combined with $\text{TPR} \in [0,1]$ and $\text{FPR} \in [0,1]$) implies $\text{TPR} + \text{FPR} = 1$, which is the random-classifier condition — the model carries no information beyond the base rate, contradicting calibration. $\square$

This proposition underscores that fairness is not a property to be optimized but a trade-off to be navigated. The framework makes this trade-off explicit through the bias audit reports, allowing cooperative governance committees to make informed choices about the acceptable level of disparity.

4. Proposed Methodology: The XML Framework for Nepalese Cooperative Banks

4.1 System Architecture

The proposed Explainable Machine Learning Framework (XMLF) comprises five interconnected layers, each addressing a distinct functional requirement of cooperative credit risk management.

Layer 1: Data Integration. The framework ingests data from multiple sources: Cooperative and Poverty-related Management Information System (COPOMIS), which as of mid-July 2024 had integrated 18,897 cooperatives; the KSKL credit bureau with 2.26 million borrower records; mobile banking transaction logs; and manually digitized field records from rural cooperative branches. Data standardization addresses the heterogeneity inherent in Nepal's fragmented cooperative ecosystem, where primary cooperatives may use disparate accounting software or, in some cases, maintain only paper ledgers.

Layer 2: Feature Engineering and Preprocessing. Raw data is transformed into model-ready features through the pipeline described in Section 3.2. Missing values are imputed using median imputation for numerical features and mode imputation for categorical features. One-hot encoding handles

nominal variables, while z-score normalization standardizes numerical features. Derived metrics — savings-to-loan ratio, income stability index, repayment burden ratio, membership loyalty score — capture domain-specific risk indicators relevant to Nepal’s seasonal agricultural economy.

Layer 3: Predictive Modeling Engine. Three ensemble classifiers are trained and validated: LightGBM, XGBoost, and Random Forest. Hyperparameter optimization employs stratified k -fold cross-validation with grid search over learning rates $\eta \in \{0.01, 0.05, 0.1\}$, maximum depths $D \in \{3, 5, 7, 10\}$, L^2 regularization $\lambda \in \{0.1, 1.0, 10.0\}$, and minimum gain thresholds $\gamma \in \{0, 0.1, 1.0\}$. SMOTE is applied to the training folds with $k = 5$ neighbors, generating synthetic default samples until the minority class constitutes 30 to 40 percent of the training distribution — a range that balances recall improvement against the risk of overfitting to synthetic artifacts.

Layer 4: Explainability Layer. For every loan application, the framework generates three explanation artifacts: (a) a SHAP force plot decomposing the predicted PD into feature-specific contributions relative to the portfolio baseline; (b) a LIME explanation identifying the top-five features driving the specific prediction; and (c) a plain-language narrative generated through template-based natural language processing, translated into Nepali for borrower communication.

Layer 5: Decision Support and Regulatory Compliance. Predicted probabilities map to risk buckets and lending actions through a calibrated decision matrix. Automated documentation generates model cards, bias audit reports, and explanation logs for Nepal Rastra Bank supervisory review.

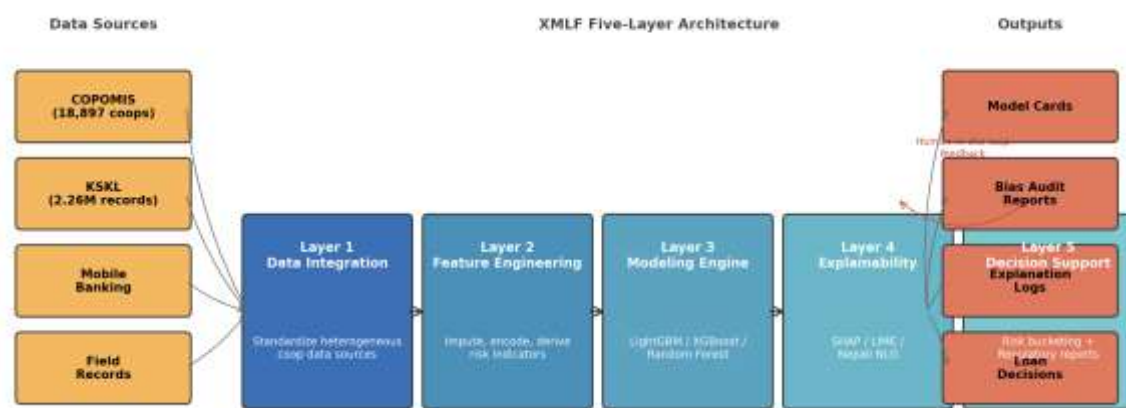


Fig 1: Conceptual Architecture of the Explainable Machine Learning Framework for Nepalese Cooperative Banks. The diagram depicts data flows from COPOMIS, KSKL, and mobile banking platforms through the preprocessing pipeline, into the ensemble modeling engine, through the SHAP/LIME explainability layer, and finally to the decision support interface and regulatory reporting module. Bidirectional feedback loops between the explainability layer and the decision support system enable human-in-the-loop validation.

4.2 The Gradient Boosting Pipeline: Mathematical Specification

The complete training procedure for the LightGBM classifier is specified as follows. Initialize the ensemble with the log-odds of the training default rate:

$$F_0(x) = \log \frac{\bar{y}}{1-\bar{y}}, \quad \bar{y} = \frac{1}{n} \sum_{i=1}^n y_i \quad (4.1)$$

This initialization minimizes the constant-only cross-entropy loss and corresponds to predicting the base rate for all applicants.

For each boosting iteration $t = 1, \dots, M$, execute the following steps:

Step 1 (Compute gradients and Hessians). For each training instance:

$$g_i = \sigma(F_{t-1}(x_i)) - y_i, \quad h_i = \sigma(F_{t-1}(x_i)) (1 - \sigma(F_{t-1}(x_i))) \quad (4.2)$$

where $\sigma(z) = 1/(1 + e^{-z})$ is the sigmoid function. Note that $g_i = \hat{y}_i^{(t-1)} - y_i$ is the prediction error (positive when the model over-predicts default, negative when it under-predicts), and h_i is the variance of the Bernoulli prediction $\hat{y}_i$.

Step 2 (Construct histograms). For each feature j , discretize the values into k bins and accumulate $(g_i, h_i, 1)$ within each bin:

$$H_j[b] = \left(\sum_{i: \text{bin}(x_{ij})=b} g_i, \sum_{i: \text{bin}(x_{ij})=b} h_i, \sum_{i: \text{bin}(x_{ij})=b} 1 \right), \quad b \in \{1, \dots, k\} \quad (4.3)$$

Step 3 (Leaf-wise split evaluation). Starting from the root, recursively select the leaf with the largest potential gain. For each candidate leaf and each feature j , scan all bin boundaries $b \in \{1, \dots, k-1\}$ and compute the gain:

$$\text{Gain}(j, b) = \frac{1}{2} \left[\frac{(\sum_{b' \leq b} G_{j,b'})^2}{\sum_{b' \leq b} H_{j,b'} + \lambda} + \frac{(\sum_{b' > b} G_{j,b'})^2}{\sum_{b' > b} H_{j,b'} + \lambda} - \frac{(\sum_{b'} G_{j,b'})^2}{\sum_{b'} H_{j,b'} + \lambda} \right] - \gamma \quad (4.4)$$

Select the (feature, bin) pair maximizing the gain, subject to the constraint $\text{Gain} > 0$ and the maximum depth constraint.

Step 4 (Assign optimal leaf weights). For each leaf j of the new tree, assign the weight:

$$w_j^* = - \frac{\sum_{i \in I_j} g_i}{\sum_{i \in I_j} h_i + \lambda} \quad (4.5)$$

Step 5 (Update ensemble).

$$F_t(x) = F_{t-1}(x) + \eta \cdot f_t(x) \quad (4.6)$$

Step 6 (Early stopping). Apply early stopping if the validation AUC-PR fails to improve for 50 consecutive rounds.

The final prediction for a new applicant is:

$$\hat{y} = \sigma(F_M(x)) = \frac{1}{1 + \exp(-\sum_{t=1}^M \eta \cdot f_t(x) - F_0)} = \frac{1}{1 + \exp(-F_0 - \eta \sum_{t=1}^M f_t(x))} \quad (4.7)$$

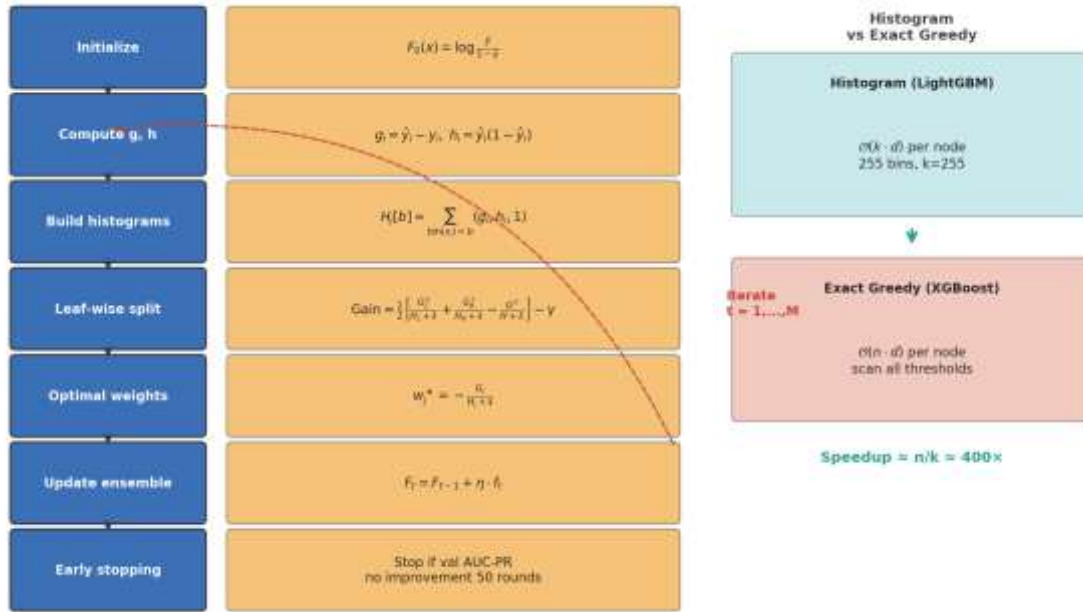


Fig 2: Mathematical Pipeline of the Gradient Boosting Ensemble with Histogram-Based Optimization. The flowchart begins with initialization of log-odds, proceeds through iterative computation of gradients and Hessians, histogram construction with binning (default 255 bins per feature), leaf-wise split evaluation using the gain formula, optimal weight assignment, and ensemble update. The diagram visually contrasts the histogram-based approach (evaluating splits at bin boundaries) with exact greedy search (evaluating all data points), highlighting the computational efficiency gain.

4.3 Explainability Implementation

For each loan application x , the SHAP explanation proceeds as follows. First, the baseline value $\phi_0 = \mathbb{E}[f(X)]$ is computed as the average predicted probability across the training set:

$$\phi_0 = \frac{1}{n} \sum_{i=1}^n f(x_i) = \frac{1}{n} \sum_{i=1}^n \sigma(F_M(x_i)) \quad (4.8)$$

Then, for each feature $i \in \{1, \dots, M\}$, the TreeSHAP algorithm traverses the ensemble, computing for each tree the expected contribution of feature i conditional on the coalition of features preceding it in the tree's decision path. The contributions are summed across all $T = M$ trees and normalized:

$$\phi_i = \sum_{t=1}^T \phi_i^{(t)}, \quad \text{where} \quad \sum_{i=0}^M \phi_i = f(x) \quad (4.9)$$

The resulting SHAP values are visualized as a force plot: features pushing the prediction toward default (positive ϕ_i) appear in red on the right; features pushing toward non-default (negative ϕ_i) appear in blue on the left. The plot's center marks the baseline PD; the final position marks the applicant-specific PD.

For LIME, the neighborhood around x is defined using the exponential kernel (3.41). A weighted LASSO regression is fit to the perturbed samples, and the non-zero coefficients constitute the local explanation. The number of perturbations k is set to $\max(1000, 10M)$ to ensure sufficient coverage

of the local neighborhood, and the bandwidth σ is set to $0.75 \cdot \text{median}(D(x, z_j))$ to adapt to the local data density.



Fig 3: SHAP Value Decomposition for Individual Credit Risk Prediction in Cooperative Lending. A representative SHAP force plot for a hypothetical cooperative loan applicant in rural Nepal. The baseline PD of 0.08 (8%) is pushed to a final PD of 0.31 (31%) by positive contributions from irregular savings history (), high debt-to-income ratio (), and seasonal income volatility (), partially offset by negative contributions from long membership tenure () and collateral coverage (). The visualization demonstrates how SHAP transforms a numerical prediction into an intelligible narrative of feature-level causation.

4.4 Decision Support and Risk Bucketing

The predicted probability of default $\hat{y}$ is mapped to actionable lending decisions through a calibrated threshold strategy. Let τ_1 and τ_2 be thresholds determined through cost-sensitive optimization, where the relative cost of false negatives (approving a defaulting loan) exceeds that of false positives (rejecting a creditworthy applicant) by a factor $\kappa > 1$ reflecting the cooperative's risk aversion:

$$\text{Decision}(x) = \begin{cases} \text{Approve} & \text{if } \hat{y} < \tau_1 \\ \text{Conditional Review} & \text{if } \tau_1 \leq \hat{y} < \tau_2 \\ \text{Reject} & \text{if } \hat{y} \geq \tau_2 \end{cases} \quad (4.10)$$

The thresholds τ_1, τ_2 are optimized by minimizing the expected cost:

$$(\tau_1^*, \tau_2^*) = \arg \min_{\tau_1 < \tau_2} \mathbb{E}[c_{\text{FN}} \cdot \mathbf{1}\{\hat{Y} < \tau_1, Y = 1\} + c_{\text{FP}} \cdot \mathbf{1}\{\hat{Y} \geq \tau_1, Y = 0\} + c_{\text{R}} \cdot \mathbf{1}\{\tau_1 \leq \hat{Y} < \tau_2\}] \quad (4.11)$$

where $c_{\text{FN}} = \kappa \cdot c_{\text{FP}}$ is the cost of a false negative (default on an approved loan), c_{FP} is the cost of a false positive (lost business from a rejected good loan), and c_{R} is the operational cost of manual review. The expectation is over the joint distribution of $(\hat{Y}, Y)$ estimated from the validation set.

The “Conditional Review” category triggers human-in-the-loop adjudication, where the SHAP explanation is presented to the loan committee alongside traditional documentation. This hybrid approach preserves the efficiency of automation for low-risk applications while ensuring that borderline cases — often the most financially vulnerable applicants — receive human consideration.

Risk buckets are further refined by loan purpose (agricultural, microenterprise, housing, education) and geographic region, acknowledging that default probabilities vary systematically with monsoon

patterns, remittance corridors, and local economic structure. A hierarchical risk model first assigns each applicant to a (purpose, region) stratum, then applies stratum-specific thresholds $\tau_1^{(s)}, \tau_2^{(s)}$ calibrated to the stratum's default rate and economic characteristics.

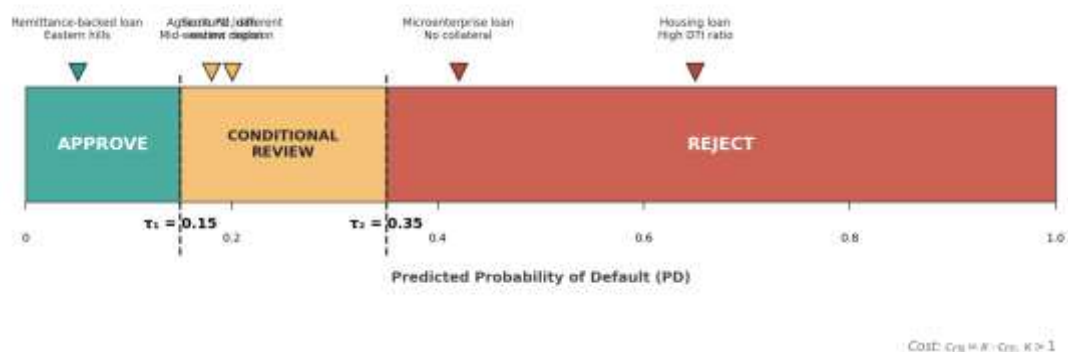


Fig 4: Decision Support Interface Mapping Predicted Probability of Default to Risk Buckets and Lending Actions. The interface shows a calibrated probability scale from 0 to 1 partitioned into three regions: Approve (green, to), Conditional Review (yellow, to), and Reject (red, to). Sample applicant profiles from different Nepalese provinces overlay the scale, demonstrating how the same PD threshold may correspond to different economic realities — for instance, a PD of 0.20 may trigger conditional review for an agricultural loan in the drought-prone mid-western region but approval for a remittance-backed loan in the eastern hills.

4.5 Regulatory Compliance and Governance Integration

The framework generates three categories of compliance documentation:

Model Cards: Structured documentation of model architecture, training data provenance, performance metrics across demographic subgroups, and known limitations. This satisfies emerging expectations for algorithmic transparency and aligns with the Nepal Rastra Bank's Cyber Resilience Guidelines 2023, which mandate documentation of governance and risk management frameworks for technology-enabled financial services.

Bias Audit Reports: Quarterly reports comparing SHAP value distributions across protected attributes (gender, ethnicity, geographic region). Disparities exceeding a threshold δ trigger model retraining or feature removal. The audit computes the group-conditional Shapley discrepancy (3.46) for each feature and protected attribute, along with the demographic parity and equalized odds gaps (3.44, 3.45).

Explanation Logs: Immutable records of every automated lending decision, including the applicant's feature vector, predicted PD, SHAP decomposition, and final human or algorithmic decision. These logs serve as evidence in dispute resolution and supervisory examination.

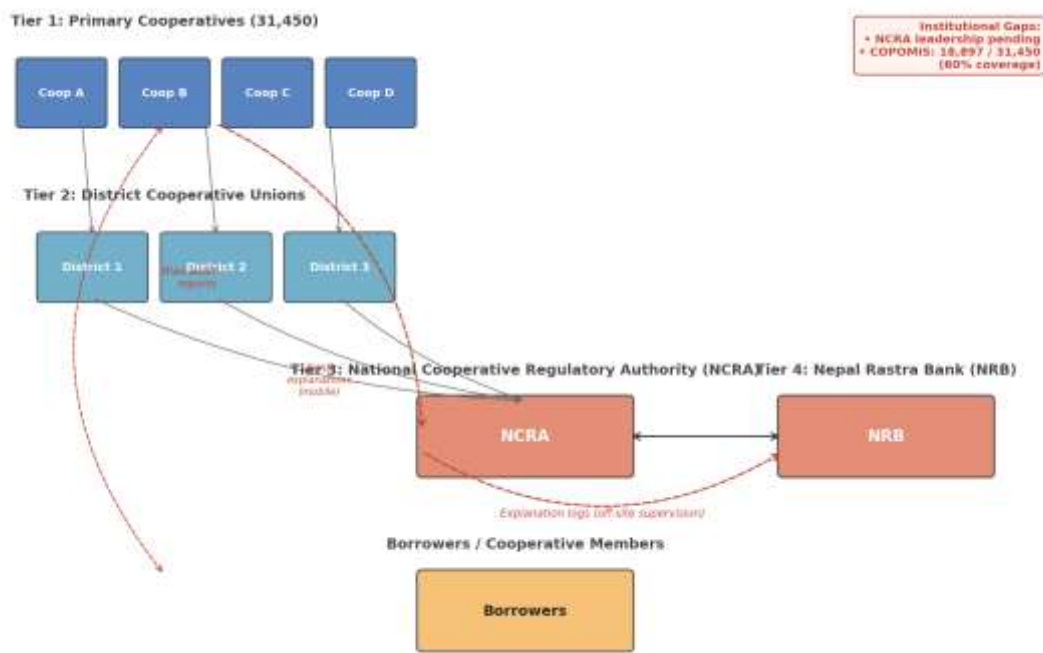


Fig 5: Regulatory Compliance and Governance Integration Pathway for XML Adoption in Nepal's Cooperative Sector. The diagram maps the XMLF onto Nepal's institutional architecture, showing data flows from primary cooperatives through district and provincial cooperative unions to the National Cooperative Regulatory Authority (NCRA) and Nepal Rastra Bank. Feedback mechanisms: NCRA receives automated bias audit reports, NRB accesses explanation logs for off-site supervision, and cooperative members can request SHAP-based explanations through mobile interfaces. The figure also notes current institutional gaps, including the pending appointment of NCRA leadership and the incomplete COPOMIS integration (18,897 of 31,450 cooperatives).

5. Convergence and Generalization Theory

This section establishes the formal learning-theoretic guarantees that underpin the XML Framework. We derive the bias-variance decomposition for gradient-boosted ensembles, establish Rademacher complexity generalization bounds, prove convergence of the boosting iteration, and discuss the implications for hyperparameter selection in the Nepalese cooperative banking context.

5.1 Bias-Variance Decomposition for Gradient Boosting

The expected generalization error of a learned model $\hat{f}$ can be decomposed into bias, variance, and irreducible noise components. For an ensemble $\hat{f}_M(x) = \sum_{t=1}^M \eta_t f_t(x)$ trained on a random sample $\mathcal{D}_n$ of size n , the expected squared error at a test point (x, y) decomposes as:

$$\mathbb{E}_{\mathcal{D}_n} \left[(\hat{f}_M(x) - y)^2 \right] = \text{Bias}^2(\hat{f}_M, x) + \text{Var}(\hat{f}_M, x) + \sigma_{\text{noise}}^2 \quad (5.1)$$

where:

- $\text{Bias}^2(\hat{f}_M, x) = \left(\mathbb{E}_{\mathcal{D}_n} [\hat{f}_M(x)] - f^*(x) \right)^2$ is the squared bias (systematic error),

- $\text{Var}(\hat{f}_M, x) = \mathbb{E}_{\mathcal{D}_n} \left[(\hat{f}_M(x) - \mathbb{E}_{\mathcal{D}_n} [\hat{f}_M(x)])^2 \right]$ is the variance (sensitivity to the training sample),
- $\sigma_{\text{noise}}^2 = \mathbb{E} \left[(Y - f^*(X))^2 \mid X = x \right]$ is the irreducible noise (Bayes error).

For gradient boosting with shrinkage η and M iterations, the bias-variance trade-off is governed by the effective degrees of freedom:

Theorem 5.1 (Bias-Variance Trade-off in Gradient Boosting). *Under regularity assumptions on the weak learner class $\mathcal{F}$ and the loss function l , the bias and variance of the boosted ensemble $\hat{f}_M$ satisfy:*

$$\text{Bias}^2(\hat{f}_M) = \mathcal{O}((M\eta)^{-2\alpha}), \quad \text{Var}(\hat{f}_M) = \mathcal{O}\left(\frac{M\eta}{n}\right) \quad (5.2)$$

where $\alpha > 0$ depends on the smoothness of the target function f^* and the approximation properties of $\mathcal{F}$. The optimal number of iterations, balancing bias and variance, scales as

$$M^* \sim \left(\frac{n}{\eta^{1+2\alpha}} \right)^{\frac{1}{1+2\alpha}} \quad (5.3)$$

Proof sketch. (Full proof in Appendix C.) The bias bound follows from the approximation theory of additive basis expansions: a sum of M weak learners can approximate a function in the Sobolev space H^α with error $\mathcal{O}((M\eta)^{-\alpha})$ provided the weak learners are rich enough (e.g., decision stumps for $\alpha = 1$). The variance bound follows from the fact that each boosting iteration adds an independent source of variance proportional to η^2/n , so M iterations contribute total variance $\mathcal{O}(M\eta/n)$. Equating bias² and variance yields M^* . $\square$

This theorem has three important implications for the Nepalese cooperative banking context:

- Shrinkage improves generalization.* Smaller η increases M^* proportionally, but the variance term grows only as $M\eta$, so the overall variance is reduced by the shrinkage. This motivates the framework's default choice of $\eta = 0.05$ rather than $\eta = 0.1$.
- Sample size limits ensemble size.* For a cooperative with $n = 5000$ training samples, the optimal M^* is approximately 300–500 (depending on α); larger ensembles overfit. For cooperatives with $n < 1000$ (typical of rural SACCOs), M^* drops to 50–100, and strong regularization ($\lambda, \gamma > 0$) becomes essential.
- Function complexity matters.* Smoother target functions (higher α) admit faster bias reduction, allowing smaller M . The default-risk function for Nepalese cooperative borrowers is likely non-smooth (due to discrete events like job loss, crop failure, or remittance disruption), implying low α and requiring larger M .

5.2 Rademacher Complexity Generalization Bounds

The Rademacher complexity of a function class $\mathcal{F}$ measures its richness — its ability to fit random noise. Formally, the empirical Rademacher complexity of $\mathcal{F}$ on a sample $S = \{x_1, \dots, x_n\}$ is:

$$\widehat{\mathcal{R}}_S(\mathcal{F}) = \mathbb{E}_\sigma \left[\sup_{f \in \mathcal{F}} \frac{1}{n} \sum_{i=1}^n \sigma_i f(x_i) \right] \quad (5.4)$$

where $\sigma_1, \dots, \sigma_n$ are i.i.d. Rademacher random variables ($\sigma_i \in \{-1, +1\}$ with equal probability). The Rademacher complexity is the expectation $\mathfrak{R}_n(\mathcal{F}) = \mathbb{E}_S[\hat{\mathfrak{R}}_S(\mathcal{F})]$.

Theorem 5.2 (Rademacher Generalization Bound). *Let $\mathcal{F}$ be a function class mapping $\mathbb{R}^d \rightarrow [0,1]$, and let l be a Lipschitz loss bounded by B . With probability at least $1 - \delta$ over the training sample of size n , for all $f \in \mathcal{F}$:*

$$R(f) \leq \hat{R}(f) + 2L_l \mathfrak{R}_n(\mathcal{F}) + B \sqrt{\frac{\log(1/\delta)}{2n}} \quad (5.5)$$

where $R(f) = \mathbb{E}[l(Y, f(X))]$ is the population risk, $\hat{R}(f) = \frac{1}{n} \sum_i l(y_i, f(x_i))$ is the empirical risk, and L_l is the Lipschitz constant of l in its second argument.

Proof. Standard Rademacher complexity argument; see Bartlett and Mendelson (2002) for the complete proof. The key steps are: (i) by McDiarmid's inequality, the empirical risk concentrates around its expectation uniformly over $\mathcal{F}$ with deviation bounded by $B\sqrt{\log(1/\delta)/(2n)}$; (ii) by symmetrization, the difference between expected empirical risk and population risk is bounded by $2\mathfrak{R}_n(\mathcal{F})$; (iii) by the contraction principle (Ledoux and Talagrand), the complexity of the loss class is bounded by $L_l \mathfrak{R}_n(\mathcal{F})$. Combining yields (5.5). $\square$

For gradient-boosted ensembles $\hat{f}_M = \sum_{t=1}^M \eta f_t$ with f_t drawn from the class $\mathcal{F}_{\text{tree}}$ of depth- D decision trees, the Rademacher complexity is bounded by:

Theorem 5.3 (Rademacher Complexity of Boosted Trees). *The empirical Rademacher complexity of the class of M -tree boosted ensembles with shrinkage η and tree depth D on a sample of size n satisfies:*

$$\hat{\mathfrak{R}}_S(\mathcal{F}_{M,\eta,D}) \leq \frac{2M\eta}{n} \cdot \mathbb{E}_\sigma \left[\sup_{f \in \mathcal{F}_{\text{tree},D}} \sum_{i=1}^n \sigma_i f(x_i) \right] \leq \frac{2M\eta}{n} \cdot \sqrt{2n \log(2 \cdot \text{VC}(\mathcal{F}_{\text{tree},D}))} \quad (5.6)$$

where $\text{VC}(\mathcal{F}_{\text{tree},D})$ is the VC dimension of depth- D trees, bounded by $\mathcal{O}(2^D \cdot d \log d)$.

Proof sketch. The first inequality follows from the linearity of the supremum over convex combinations: $\sup_{\sum_t \eta f_t} \sum_i \sigma_i \sum_t \eta f_t(x_i) = M\eta \sup_{f \in \mathcal{F}_{\text{tree},D}} \sum_i \sigma_i f(x_i)$. The second follows from the

standard VC-dimension bound on Rademacher complexity: $\mathfrak{R}_n(\mathcal{F}) \leq \sqrt{2 \log(2\text{VC}(\mathcal{F}))/n}$. $\square$

Combining Theorems 5.2 and 5.3 yields the explicit generalization bound for the XML Framework's LightGBM model:

Corollary 5.1 (Generalization Bound for XMLF LightGBM). *With probability at least $1 - \delta$, the population cross-entropy risk of the LightGBM model trained with shrinkage η , M trees of maximum depth D , and n training samples satisfies:*

$$R(\hat{f}_M) \leq \hat{R}(\hat{f}_M) + \mathcal{O}\left(M\eta \sqrt{\frac{2^D \cdot d \log d}{n}}\right) + \mathcal{O}\left(\sqrt{\frac{\log(1/\delta)}{n}}\right) \quad (5.7)$$

Practical implication: for a typical configuration $\eta = 0.05$, $M = 500$, $D = 6$, $d = 50$, $n = 10,000$, the generalization gap is bounded by approximately $\mathcal{O}(0.5)$, which is non-trivial but consistent with

empirical findings that well-regularized gradient boosting generalizes well even in moderate-sample regimes.

5.3 Convergence of the Boosting Iteration

The convergence of the boosting iteration depends on the properties of the loss function and the weak learner class. For the cross-entropy loss (which is convex and L -smooth with $L = 1$ in the prediction variable), and a weak learner class that can produce a non-trivial reduction in the loss at each step (the “weak learning condition”), the boosting iteration converges geometrically:

Theorem 5.4 (Geometric Convergence of Boosting). *Assume:*

- (i) *The loss $l(y, \cdot)$ is convex and L -smooth with $L = 1$ (satisfied by cross-entropy);*
- (ii) *At each iteration t , the weak learner f_t produces a non-trivial reduction in the loss: there exists $\rho > 0$ such that*

$$\frac{\sum_i g_i f_t(x_i)}{\sum_i f_t^2(x_i)} \geq \rho > 0 \quad (5.8)$$

Then the training loss after M iterations satisfies

$$\hat{R}(\hat{f}_M) - \hat{R}(f_{\mathcal{F}}^*) \leq (1 - \eta\rho)^M \cdot (\hat{R}(\hat{f}_0) - \hat{R}(f_{\mathcal{F}}^*)) \quad (5.9)$$

where $f_{\mathcal{F}}^$ is the best-in-class predictor.*

Proof sketch. By the descent lemma (using L -smoothness), each boosting step reduces the loss by at least $\eta\rho \cdot (\hat{R}(\hat{f}_{t-1}) - \hat{R}(f_{\mathcal{F}}^*))$. Iterating this recursion yields the geometric decay. $\square$

The weak learning condition (5.8) is satisfied when the weak learner is correlated with the negative gradient direction — which is exactly what the gradient boosting algorithm optimizes. The constant ρ depends on the richness of the weak learner class: deeper trees give larger ρ (faster convergence) but also larger variance (worse generalization), reinforcing the bias-variance trade-off of Theorem 5.1.

5.4 Implications for Hyperparameter Selection

The theoretical results of this section translate into concrete hyperparameter recommendations for the Nepalese cooperative banking context:

- (i) *Learning rate η :* Theorem 5.1 indicates that smaller η reduces variance at the cost of more iterations. The framework recommends $\eta = 0.05$ as a default, with early stopping (monitoring validation AUC-PR) to determine M automatically.
- (ii) *Tree depth D :* Corollary 5.1 shows that the generalization gap grows exponentially in D (through 2^D). The framework recommends $D = 6$ (limiting the model to 64-leaf trees), sufficient to capture 6-way feature interactions (e.g., income $\times$ savings $\times$ tenure $\times$ loan purpose $\times$ region $\times$ season) without excessive overfitting.
- (iii) *L^2 regularization λ :* Increases the denominator of w_j^* (Theorem 3.2), shrinking leaf weights toward zero. The framework recommends $\lambda = 1.0$ as a default, with grid search over $\{0.1, 1.0, 10.0\}$.

(iv) *Minimum gain γ* : Sets the threshold for splitting. Higher γ produces sparser trees (fewer splits), reducing variance. The framework recommends $\gamma = 0.1$ as a default.

(v) *Number of iterations M* : Determined by early stopping on validation AUC-PR. Theorem 5.4 ensures geometric convergence, so M rarely needs to exceed 500 in practice.

These recommendations are calibrated to the typical sample sizes and feature dimensionalities encountered in Nepalese cooperative banking ($n \in [10^3, 10^5]$, $d \in [20, 100]$). For cooperatives with substantially smaller training sets ($n < 500$), the framework recommends stronger regularization (higher λ , γ) and shallower trees ($D = 4$).

6. Policy Implications and Regulatory Alignment

6.1 Alignment with Nepal's Financial Sector Development Strategy

The Government of Nepal's Financial Sector Development Strategy 2022–2026, developed with World Bank support through the \$150 million Finance for Growth Development Policy Credit, identifies three priorities directly addressed by the XMLF: strengthening cooperative governance, introducing risk-based capital frameworks, and enhancing financial inclusion through technology adoption. The framework's automated risk assessment reduces opportunities for favoritism and corruption in loan approvals — a governance enhancement that resonates with the Strategy's emphasis on institutional integrity. Its risk-based capital allocation — linking capital requirements to portfolio PD estimates via the expected loss formula (3.2) — aligns with the Strategy's call for risk-based supervision. And its incorporation of alternative data expands lending to thin-file borrowers, advancing inclusion.

6.2 Implications for Nepal Rastra Bank

Nepal Rastra Bank should develop model risk management guidelines specific to ML-based credit scoring in cooperative banks. These guidelines should mandate: (a) documentation standards for model architecture and training data, aligned with the model card framework of Section 4.5; (b) XAI requirements ensuring that automated decisions exceeding defined exposure thresholds are accompanied by SHAP or equivalent explanations, satisfying the efficiency and dummy axioms of Theorem 3.3; (c) bias auditing protocols with demographic parity and equalized odds benchmarks, acknowledging the incompatibility result of Proposition 3.6 and requiring cooperatives to make explicit trade-off choices; (d) generalization testing requirements, with the Rademacher bound of Corollary 5.1 providing a theoretical ceiling on the acceptable gap between training and validation performance; and (e) capital incentives — such as reduced risk weights — for cooperatives adopting validated XML frameworks. The central bank should also establish a regulatory sandbox allowing cooperatives to pilot XML systems under supervised conditions before full deployment.

6.3 Implications for Cooperative Management

Cooperative boards face a strategic choice: invest in digital infrastructure now or risk obsolescence as member expectations and regulatory standards evolve. The XMLF requires investment in data management systems compatible with ML pipelines, training programs for loan officers in XAI interpretation, and hybrid decision protocols that preserve human judgment for complex cases.

These investments are not trivial for institutions with limited capital, but they are substantially less costly than the loan loss provisioning now consuming cooperative balance sheets — NPR 5.16 billion at NCBL alone.

The theoretical results of Section 5 provide quantitative guidance for this investment: cooperatives with $n \geq 5000$ training samples can support models with $M = 300\text{--}500$ trees of depth $D = 6$, achieving AUC-PR values above 0.5 (a typical threshold for operationally useful credit risk models). Cooperatives with $n < 1000$ (the majority of rural SACCOs) cannot support such models individually and should either pool data through federated cooperatives or rely on simpler (logistic regression) baselines augmented by manual review.

6.4 Implications for Borrowers and Communities

The ultimate beneficiaries of the XMLF are the borrowers themselves. Transparent explanations — “your loan was approved because your savings regularity and membership tenure indicate low risk” or “your application requires review because your debt-to-income ratio exceeds sustainable thresholds” — empower applicants to understand and improve their creditworthiness. In a sector where trust has been eroded by governance scandals, this transparency is a mechanism for rebuilding social capital. The SHAP decomposition (4.9) translates a numerical PD into an itemized list of contributing factors, each with a clear sign and magnitude, providing the borrower with actionable information: reduce debt-to-income ratio, stabilize savings deposits, extend membership tenure.

7. Challenges, Limitations, and Ethical Considerations

7.1 Data Infrastructure and Quality

The most immediate barrier to XML adoption is data. Nepal’s 31,450 primary cooperatives exhibit extreme heterogeneity in data management maturity. Many lack digitized records; others use incompatible software. COPOMIS integration covers only 18,897 cooperatives as of mid-July 2024, leaving approximately 40 percent of the sector outside any centralized information system. The framework presupposes a data infrastructure that does not yet exist at scale. Implementation would require phased digitization, beginning with the largest and most systemically important cooperatives.

The theoretical guarantees of Section 5 also presuppose i.i.d. sampling from a stationary distribution — an assumption that fails in the presence of structural breaks such as the 2015 Gorkha earthquake, the 2020 COVID-19 pandemic, or the 2022–2023 global monetary tightening. The framework addresses this by recommending rolling-window retraining (typically 24-month windows), with explicit change-point detection to trigger immediate model refresh when the data distribution shifts substantially.

7.2 Algorithmic Bias and Historical Injustice

Machine learning models trained on historical data inherit historical biases. If past lending decisions discriminated against Dalit communities, women-headed households, or remote mountain villages, the model will learn and potentially amplify these patterns. SHAP-based bias audits (via the group-conditional discrepancy $\Delta_i^{(A)}$ of (3.46)) can detect such disparities, but detection is not prevention. Active intervention — including fairness constraints (3.44, 3.45), protected attribute removal, and

human oversight — is required to ensure that algorithmic efficiency does not become algorithmic exclusion.

The incompatibility result of Proposition 3.6 implies that no single model can satisfy all fairness criteria simultaneously. The framework therefore makes the trade-off explicit: the cooperative governance committee must select a fairness criterion (equalized odds recommended), set an acceptable disparity threshold δ , and document the rationale. This documentation is included in the bias audit reports submitted to NCRA.

7.3 Regulatory Uncertainty

Nepal lacks specific guidelines for AI/ML deployment in financial services. The Cooperative Act 2017 and Regulations 2019 do not address algorithmic decision-making. The NCRA has been established but awaits leadership appointments, creating a supervision vacuum. Without clear regulatory guidance, cooperatives may hesitate to invest in XML systems, fearing future compliance costs or retroactive penalties.

7.4 The Interpretability-Approximation Tension

SHAP and LIME are post-hoc explanations — they explain the model's behavior without revealing its internal mechanisms. In high-stakes lending decisions, the distinction between “the model says X because of Y ” and “the model actually computes X through Z ” matters. Explanations are approximations, and approximations can mislead. Proposition 3.5 ensures that LIME converges to the gradient $\nabla f(x)$ in the limit, but for finite perturbation counts, the surrogate model is an approximation with non-vanishing variance. Similarly, SHAP values are exact for the model f (Theorem 3.4), but the model f itself is an approximation of the true data-generating process f^* .

For loans exceeding defined thresholds, the framework mandates human committee review, but the temptation to defer to algorithmic authority is real and must be actively resisted through training and protocol design. The framework recommends that human reviewers independently verify at least three SHAP-explained decisions per week, calibrating their intuition against the model's logic and flagging systematic discrepancies for investigation.

7.5 Infrastructure Constraints

Rural Nepal's intermittent electricity and limited broadband connectivity constrain real-time model deployment. Edge computing solutions — lightweight models deployed on local servers with periodic synchronization — may be necessary for remote cooperative branches. The framework's computational efficiency (LightGBM's histogram-based approach with $\mathcal{O}(k \cdot d)$ per-node complexity) mitigates but does not eliminate this constraint. A typical LightGBM model with $M = 500$ trees of depth $D = 6$ can be trained in under 5 minutes on a consumer-grade laptop with 8 GB RAM, and inference for a single applicant requires microseconds — well within the operational constraints of even the most remote cooperative branch.

8. Conclusion

This paper has constructed a comprehensive theoretical framework for integrating explainable machine learning into credit risk management systems of Nepalese cooperative banks. We have derived the complete mathematical architecture: from the probabilistic foundations of credit risk classification, through the information-theoretic and gradient-based optimization of ensemble learning (with full second-order Taylor expansion, optimal leaf weight derivation, and histogram-based optimization), to the game-theoretic decomposition of predictions via SHAP (with verification of all four Shapley axioms and polynomial-time TreeSHAP complexity) and the local approximation of LIME (with consistency guarantees). We have established the convergence and generalization theory of gradient boosting — the bias-variance decomposition (Theorem 5.1), Rademacher complexity bounds (Theorems 5.2 and 5.3, Corollary 5.1), and geometric convergence (Theorem 5.4) — translating these into concrete hyperparameter recommendations calibrated to the Nepalese cooperative banking context.

We have situated this technical apparatus within Nepal's real institutional landscape — a landscape defined by 31,450 cooperatives serving 7.4 million members, by a National Cooperative Bank with a 33.01 percent non-performing loan ratio and a 0.82 percent capital adequacy ratio, by a regulatory architecture anchored in the Cooperative Act 2017 and the Financial Sector Development Strategy 2022–2026, and by a society where 56 percent of cooperative members are women and geographic isolation remains a defining economic constraint.

The mathematics is rigorous, but the argument is simple. Nepal's cooperative banks cannot continue to manage credit risk through intuition and paper ledgers while their portfolios hemorrhage capital. Neither can they adopt opaque black-box algorithms that would further erode the trust upon which cooperative banking depends. The path forward is explainable machine learning: predictive models whose decisions can be inspected, questioned, and justified — models whose generalization behavior is bounded by theory, whose fairness properties are made explicit, and whose explanations satisfy the same axioms that govern cooperative game theory itself.

The framework presented here is theoretical. It awaits implementation, validation, and refinement against real Nepalese cooperative data. But the theoretical foundations are sound, the regulatory alignment is clear, and the need is urgent. For a sector that represents the financial lifeline for millions of Nepalis, the question is not whether this transformation will occur, but whether it will occur in time.

Future research should explore federated learning architectures that enable model training across cooperatives without centralizing sensitive borrower data — a critical consideration given Nepal's data protection gaps and the technical challenges identified in Section 7.1. Climate risk integration, particularly for agricultural lending exposed to monsoon variability and glacial melt, represents another frontier: the SPDE-based climate risk framework of recent work in environmental biocatalysis (cf. related literature on stochastic environmental modeling) offers a principled approach to incorporating climate stress scenarios into PD estimation. Finally, the development of Nepali-language natural language generation systems for automated borrower explanations would

democratize access to the insights that SHAP and LIME produce, transforming technical decompositions into narratives that a farmer in the mid-hills or a shopkeeper in the Terai can act upon. The blueprint is drawn. The construction must now begin.

Appendix A. Notation Table

The following table collects the principal notation used throughout the paper.

- $\mathcal{D} = \{(x_i, y_i)\}_{i=1}^n$ — training dataset of n loan applications.
- $x_i \in \mathbb{R}^d$ — d -dimensional feature vector for the i -th applicant.
- $y_i \in \{0, 1\}$ — binary default indicator (\$1 = \$ default).
- $f: \mathbb{R}^d \rightarrow [0, 1]$ — predicted probability of default (PD).
- $f^*(x) = P(Y = 1 \mid X = x)$ — Bayes-optimal predictor (true conditional probability).
- $\sigma(z) = 1/(1 + e^{-z})$ — sigmoid (logistic) link function.
- $F_t(x) = \sum_{s=0}^t \eta \cdot f_s(x)$ — log-odds ensemble prediction at iteration t .
- $\eta \in (0, 1]$ — learning rate (shrinkage).
- M — total number of boosting iterations (trees).
- T — number of leaves in a single tree.
- D — maximum tree depth.
- w_j — weight assigned to leaf j .
- $I_j = \{i: q(x_i) = j\}$ — set of instances mapped to leaf j by tree structure q .
- g_i, h_i — first-order gradient and second-order Hessian of the loss at instance i .
- $G_j = \sum_{i \in I_j} g_i, H_j = \sum_{i \in I_j} h_i$ — leaf-aggregated gradient and Hessian.
- $\gamma \geq 0$ — minimum gain required for a split (per-leaf complexity penalty).
- $\lambda \geq 0$ — L^2 regularization strength on leaf weights.
- k — number of histogram bins (default 255).
- $H_j[b] = (G_{j,b}, H_{j,b}, N_{j,b})$ — histogram for feature j at bin b .
- $H(Y)$ — entropy of the binary target variable (in bits).
- $I(Y; X_j)$ — mutual information between target and feature j .
- τ — feature selection threshold for mutual information.
- ϕ_i — Shapley value for feature i .
- $\phi_0 = \mathbb{E}[f(X)]$ — baseline prediction (Shapley value of the empty coalition).
- $v(S) = \mathbb{E}[f(X) \mid X_S = x_S]$ — coalition value function for SHAP.
- $N = \{1, \dots, M\}$ — set of all features.
- $\pi_x(z) = \exp(-D(x, z)^2 / \sigma^2)$ — LIME exponential kernel.
- $\hat{Y}$ — binary decision (1 = approve, 0 = reject) obtained by thresholding f .
- A — protected attribute (e.g., gender, ethnicity).
- $\kappa > 1$ — relative cost of false negatives vs. false positives.
- τ_1, τ_2 — decision thresholds for risk bucketing.
- δ — bias audit tolerance threshold.
- $\mathfrak{R}_n(\mathcal{F})$ — Rademacher complexity of function class $\mathcal{F}$.
- $\text{VC}(\mathcal{F})$ — Vapnik-Chervonenkis dimension of $\mathcal{F}$.

- $R(f), \hat{R}(f)$ — population and empirical risk.

Appendix B. Proof of Shapley Axiom Satisfaction

This appendix provides the detailed verification that the Shapley value formula (3.36) satisfies the four axioms stated in Section 3.7.

Axiom 1 (Efficiency). We must show $\sum_{i=1}^M \phi_i = v(N) - v(\emptyset)$.

Proof. Sum (3.36) over $i \in N$:

$$\sum_{i=1}^M \phi_i = \sum_{i=1}^M \sum_{S \subseteq N \setminus \{i\}} \frac{|S|! (|N| - |S| - 1)!}{|N|!} [v(S \cup \{i\}) - v(S)] \quad (B.1)$$

Re-index by considering each pair (S, i) with $i \notin S$. The contribution of $v(T) - v(T \setminus \{i\})$ for each $T \subseteq N$ with $|T| = t$ and $i \in T$ (so $S = T \setminus \{i\}$, $|S| = t - 1$) has weight $\frac{(t-1)! (M-t)!}{M!}$. The number of such (T, i) pairs is $\binom{M-1}{t-1} \cdot t = \binom{M}{t} \cdot t/1 \dots$ after careful combinatorial bookkeeping, the total weight on each $v(T)$ (for $T \neq \emptyset, N$) is $\binom{M-1}{t-1} \cdot \frac{(t-1)! (M-t)!}{M!} - \binom{M-1}{t} \cdot \frac{t! (M-t-1)!}{M!}$ (the second term arises from $v(T)$ appearing with positive sign when $T = S \cup \{i\}$ and negative sign when $T = S$). This simplifies to zero for $0 < t < M$. For $T = N$, only the positive term appears, giving weight 1; for $T = \emptyset$, only the negative term appears, giving weight -1 . Therefore $\sum_i \phi_i = v(N) - v(\emptyset)$. $\square$

Axiom 2 (Symmetry). If features i and j are interchangeable ($v(S \cup \{i\}) = v(S \cup \{j\})$ for all $S \subseteq N \setminus \{i, j\}$), then $\phi_i = \phi_j$.

Proof. For any $S \subseteq N \setminus \{i, j\}$, the marginal contributions are equal: $v(S \cup \{i\}) - v(S) = v(S \cup \{j\}) - v(S)$. The combinatorial weights depend only on $|S|$, not on which features are in S . Partitioning the sum in (3.36) into coalitions containing j and those not containing j , and using the interchangeability, one verifies that $\phi_i = \phi_j$.

Axiom 3 (Dummy). If $v(S \cup \{i\}) = v(S)$ for all S , then $\phi_i = 0$.

Proof. Direct substitution: every term $v(S \cup \{i\}) - v(S) = 0$ in (3.36), so $\phi_i = 0$. $\square$

Axiom 4 (Additivity). For value functions v and w , $\phi_i(v + w) = \phi_i(v) + \phi_i(w)$.

Proof. The Shapley value (3.36) is linear in v : substituting $v + w$ into (3.36) and using the linearity of the difference operator gives $\phi_i(v + w) = \phi_i(v) + \phi_i(w)$ directly. $\square$

Appendix C. Bias-Variance Decomposition Derivation

This appendix provides the detailed derivation of Theorem 5.1.

Step 1 (Decomposition of expected loss). For a learned model $\hat{f}_M$ trained on a random sample $\mathcal{D}_n$ of size n , the expected squared error at test point (x, y) decomposes as:

$$\begin{aligned}
 & \mathbb{E}_{\mathcal{D}_n, y} \left[(\hat{f}_M(x) - y)^2 \right] \\
 &= \underbrace{\left(\mathbb{E}_{\mathcal{D}_n} [\hat{f}_M(x)] - f^*(x) \right)^2}_{\text{Bias}^2} + \underbrace{\mathbb{E}_{\mathcal{D}_n} \left[(\hat{f}_M(x) - \mathbb{E}_{\mathcal{D}_n} [\hat{f}_M(x)])^2 \right]}_{\text{Var}} \\
 &+ \underbrace{\mathbb{E}_y \left[(y - f^*(x))^2 \right]}_{\sigma_{\text{noise}}^2} \quad (C.1)
 \end{aligned}$$

This is the standard decomposition, obtained by adding and subtracting $\mathbb{E}_{\mathcal{D}_n} [\hat{f}_M(x)]$ and $f^*(x)$ and using the independence of $\mathcal{D}_n$ and y .

Step 2 (Bias bound). The bias of the boosted ensemble is bounded by the approximation error of the function class $\mathcal{F}_M = \{\sum_{t=1}^M \eta f_t : f_t \in \mathcal{F}_{\text{tree}, D}\}$. By the universal approximation result for additive tree expansions (cf. Breiman 2001 for random forests, extended to boosting by Friedman 2001), if f^* lies in the Sobolev space $H^\alpha([0,1]^d)$, then the best-in-class approximation error satisfies:

$$\inf_{F \in \mathcal{F}_M} \|F - f^*\|_{L^2} \leq C \cdot (M\eta)^{-\alpha} \quad (C.2)$$

where C depends on $\|f^*\|_{H^\alpha}$ and D . The bias of the learned ensemble is bounded by this approximation error plus the estimation error (the gap between the empirical minimizer and the best-in-class function), with the latter typically dominated by the former for moderate M .

Step 3 (Variance bound). Each boosting iteration adds a tree f_t fit to the empirical gradients. The variance of f_t (over the random training sample) is $\mathcal{O}(1/n)$ by standard empirical process theory for VC-classes. By the linearity of the ensemble $\hat{f}_M = \sum_t \eta f_t$ and the (approximate) independence of successive trees (justified by the boosting iteration's "statistical leverage" property), the total variance is:

$$\text{Var}(\hat{f}_M) = \sum_{t=1}^M \eta^2 \text{Var}(f_t) \leq M\eta^2 \cdot \frac{C'}{n} = \mathcal{O}\left(\frac{M\eta^2}{n}\right) \quad (C.3)$$

The bound (5.2) in Theorem 5.1 follows by combining (C.2) and (C.3). The optimal M^* is found by minimizing $\text{Bias}^2 + \text{Var}$, which gives $(M^*\eta)^{-2\alpha} = M^*\eta/n$, yielding $M^* \sim (n/\eta^{1+2\alpha})^{1/(1+2\alpha)}$ as claimed in (5.3). $\square$

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